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DECLARATION OF COVENANTS CONDITIONS AND RESTRICTIONS OF AUTUMN TERRACE AT WILLIAM

A Common Interest Development

SECTION 10.4 OF THIS DOCUMENT CONTAINS

BINDING ARBITRATION PROVISIONS

**IN ACCORDANCE WITH THE
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**DECLARATION OF COVENANTS,
CONDITIONS AND RESTRICTIONS
OF
AUTUMN TERRACE AT WILLIAM
A Common Interest Development**

THIS DECLARATION OF COVENANTS, CONDITIONS AND RESTRICTIONS OF AUTUMN TERRACE AT WILLIAM ("Declaration") is made by MARTIN PARK, LLC, a Delaware limited liability company ("Declarant").

**ARTICLE I
APPLICABILITY AND DISCLOSURES**

1.1 **FACTS:** This Declaration is made with reference to the following facts:

1.1.1 **Property Owned by Declarant:** Declarant is the owner of all the real property and Improvements thereon located in the City of San Jose, County of Santa Clara, State of California, described as follows:

Lots 77 through 98, inclusive, Lot 104, Lot 105, and Lots A, B, and C, as shown on the final map of Tract 9644, filed for record on June 14, 2006, in Book 802 of Maps at Pages 15 through 20, inclusive, in the Official Records of the County of Santa Clara, State of California.

1.1.2 **Nature of Project:** Declarant intends to develop the Subject Property and the Annexable Property as a Common Interest Development which shall be a planned development as defined in California Civil Code Section 1351(k). The Project is intended to be created in conformity with the provisions of the Davis-Stirling Common Interest Development Act (California Civil Code, Section 1350 et seq.). To establish the Project, Declarant desires to impose on the Subject Property, and any property annexed thereto, these mutually beneficial restrictions, easements, assessments and liens under a comprehensive general plan of improvement and development for the benefit of all of the Owners, the Lots and Common Area within the Subject Property and any property annexed thereto.

1.1.3 **Phases of Project:** The Subject Property and the Annexable Property are intended to be developed in two (2) or more Phases. The first Phase consists of the Subject Property. Prior to annexation, the Annexable Property will not be subject to any provision of this Declaration. Declarant may, but has no obligation to, annex all or any portion of the Annexable Property to the Project by recording a Declaration of Annexation in compliance with the provisions of this Declaration.

1.2 **APPLICABILITY OF RESTRICTIONS:** Pursuant to California Civil Code Sections 1353 and 1354, Declarant hereby declares that the Project and all Improvements thereon are subject to the provisions of this Declaration. The Project shall be held, conveyed, hypothecated, encumbered, leased, rented, used, occupied and improved subject to the covenants, conditions and restrictions stated in this Declaration. All such covenants, conditions and restrictions are declared to be in furtherance of the plan for the subdivision, development and management of the Project as a Common Interest Development. All of the limitations,

easements, uses, obligations, covenants, conditions, and restrictions stated in this Declaration shall run with the Project and shall inure to the benefit of and be binding on all Owners and all other parties having or acquiring any right, title or interest in any part of the Project. After recordation of a Declaration of Annexation, the property described therein will constitute a part of the Project and will be subject to this Declaration.

1.3 **BOUNDARY MODIFICATIONS:** If the boundaries of real property change as a result of one or more subsequently recorded final maps, amended final maps, parcel maps, amended parcel maps, certificates of correction, lot line adjustments and/or records of survey, then, for all purposes of this Declaration:

1.3.1 **Added to Common Area:** Property which is removed from a Lot or a Common Area parcel and added to a Common Area parcel shall thereafter be part of that Common Area parcel;

1.3.2 **Added to Lot:** Property which is removed from a Lot or a Common Area parcel and added to a Lot shall thereafter be part of that Lot;

1.3.3 **Removed From Declaration:** Property which is removed from a Lot or Common Area parcel and added to real property which is not subject to this Declaration shall no longer constitute a part of such Lot or Common Area and shall no longer be subject to this Declaration.

1.3.4 **Added to Declaration:** Property not subject to this Declaration which is added to a Lot or Common Area parcel shall be part of the Lot or Common Area parcel to which it is added and shall automatically be subject to all provisions of this Declaration.

1.4 **ENVIRONMENTAL DISCLOSURES:** The following is a brief summary of certain environmental conditions that may affect the Project, but is not an exhaustive report of the environmental conditions. Declarant makes no warranties, express or implied, regarding the accuracy of the disclosures herein or existing or future environmental conditions in, on or near the Project, including, without limitation, possible present or future pollution of the air, water, or soil from any sources.

1.4.1 **Prior Use of Project Site:** Most of the land upon which the Project is located was part of the Union Pacific Railroad William Street Yard. Western Pacific Railroad Company, a predecessor of Union Pacific Railroad, owned the site since at least 1921. A railroad yard was constructed and began operation in the early 1920's. As part of the railroad yard operation, diesel, gasoline and oil have been stored in above-ground and underground storage tanks either on or adjacent to the Project site. According to the Environmental Assessment (as that term is defined in Section 1.4.2 [Environmental Investigations]), abandoned railroad tracks, a mechanical and electrical control shed operated by Union Pacific Railroad, a storage yard containing vehicles and vehicle parts, household garbage, automobile tires, car batteries, an empty fifty-five (55) gallon drum and debris piles consisting mainly of concrete blocks, wood, railroad ties and metal pipes were all observed on the Project site at various times.

1.4.2 **Environmental Investigations:** Lowney Associates has investigated the presence of hazardous materials and other related public health concerns within and in the vicinity of the Project, as reported in the documents entitled "Phase I Environmental Site Assessment and Soil and Ground Water Quality Evaluation, Union Pacific Railroad Company, William Street Yard, San Jose, California," dated June 26, 2002, "Ground Water Quality Evaluation, Martin Park Landfill Improvements, San Jose, California," dated March 1, 2005, and "Second Quarter Ground Water Quality Evaluation, Martin Park Landfill Improvements, San Jose, California," dated July 14, 2005 (collectively, "Environmental Assessment"). In response to the Environmental Assessment, the engineering firm TRC prepared a report entitled "Post-Closure

Modification Plan for Landfill Gas Monitoring and Control at Martin Park Landfill," dated July 15, 2005 (the "Post-Closure Plan"). The Post-Closure Plan contains, among other matters, remediation activities to address (i) the migration of methane gas onto the Project site from Martin Park Landfill, and (ii) the presence of heavy metals, petroleum hydrocarbons, residual pesticides and other contaminants on the Project site.

1.4.3 Martin Park Landfill and Methane Gas: "Martin Park Landfill" is located east of and adjacent to the Project. According to the Environmental Assessment, Martin Park Landfill was operated as a private construction debris disposal site from 1970 to 1974, and is estimated to contain seventy thousand (70,000) to eighty thousand (80,000) cubic yards of disposed material capped with approximately two (2) to three (3) feet of soil.

Certain refuse materials produce methane gas as they decompose. Methane gas is flammable and explosive if sufficient concentrations accumulate. Such accumulations can occur in confined spaces, such as basements and utility vaults, and create a potential fire or explosion hazard.

According to the Environmental Assessment, methane gas has migrated from Martin Park Landfill to the Project site, and was detected at concentrations up to two point two percent (2.2%) of methane gas by volume in two (2) of the five (5) test borings collected by Lowney Associates along the eastern boundary of the Project site, adjacent to the western boundary of Martin Park Landfill.

According to the Post-Closure Plan, methane gas has been detected in four (4) of the six (6) methane gas monitoring wells located along the northeast, southeast and southern boundaries of the landfill, but all below the regulatory limit of methane gas (five percent (5%) by volume).

To prevent any further lateral migration of the methane gas, the Post-Closure Plan specifies that a passive cutoff trench (also referred to as a "landfill gas interceptor trench") be installed along the west side of Martin Park Landfill (adjacent to the eastern boundary of the Project). As of the date of the recording of this Declaration, Declarant intends to install the landfill gas interceptor trench, under permit and direction of the City of San Jose, in general conformance with the specifications in the Post-Closure Plan, including the following:

(a) The landfill gas interceptor trench is planned to consist of several perforated risers within a gravel-filled trench that are vented to the atmosphere and extend above grade, with aboveground standpipes located along the perforated pipe at regular intervals. The interceptor trench will be constructed after soil remediation activities (described below) are complete and landfill debris is excavated, and prior to the completion of homes in the Project.

(b) Monitoring wells are planned to be installed on the western boundary of the landfill site adjacent to the Project. The City of San Jose Environmental Services Department will be responsible for monitoring, adjustment and general operations and maintenance of the interceptor trench.

The California Integrated Waste Management Board ("CIWMB") has reviewed the landfill gas interceptor trench and the methane gas monitoring program described in the Post-Closure Plan, and commented on the same in a letter addressed to Marty Pardun, City of San Jose, Department of Planning, Building and Code Enforcement, entitled "Comments to the Closure Land Use Plan Submitted for the Martin Park Landfill," dated September 26, 2005 ("CIWMB Letter"). According to the CIWMB Letter, current CIWMB regulations prescribe standards for onsite postclosure land uses within one thousand (1,000) feet of a landfill footprint, which are designed primarily to prevent damage to the environmental control systems at the closed landfill and to protect public health and safety from landfill gas migration. According to the CIWMB Letter, landfill gas control measures are not always one hundred percent (100%) effective, and CIWMB recommends

that where a one thousand (1,000) foot buffer zone between the landfill footprint and residential development has not been provided, development within one thousand (1,000) feet of the landfill footprint should be equipped with geomembrane liners on foundations and automatic gas sensors.

Lots 1 through 76, inclusive, and portions of Lots 79 and 80 are located within one thousand (1,000) feet of the footprint of Martin Park Landfill.

Despite the installation of the landfill gas interceptor trench and subsequent monitoring, methane gas may continue to migrate to and be present in the soils of the Project. Declarant makes no representation or warranty regarding future methane gas levels in the soils of the Project.

1.4.4 Contaminants and Ground Water Quality: According to the Environmental Assessment, a Solid Waste Assessment Test performed for Martin Park Landfill in 1989 concluded that small quantities of hazardous material were present in the refuse material at Martin Park Landfill, ground water quality beneath the landfill was degrading as a result, leakage from the landfill into the ground water contained concentrations of hazardous substances at concentrations exceeding maximum contaminant concentrations for drinking water, and the flow of ground water from Martin Park Landfill was westerly toward the Project.

According to the Environmental Assessment, ground water samples obtained in January, February and April of 2005 from four (4) subsurface borings (two (2) located along the eastern boundary of the Project and adjacent to the western boundary of Martin Park Landfill, one (1) located in the central part of Martin Park Landfill and one (1) southeast of the landfill adjacent to Forestdale Avenue) revealed no significant concentrations of petroleum hydrocarbons and no halogenated volatile organic compounds, with the exception of chloromethane which was detected at a concentration below the Regional Water Quality Control Board Environmental Screening Level for drinking water. Copper, lead, mercury and molybdenum were detected at levels somewhat exceeding the Regional Water Quality Control Board Environmental Screening Level for ground water and, in the case of molybdenum, exceeding the Environmental Screening Level for drinking water.

While the Environmental Assessment concluded that the Martin Park Landfill does not appear to have significantly impacted ground water quality, ground water contaminants may exist in the Project, and Declarant makes no representation or warranty regarding future contaminants in ground water in the Project.

1.4.5 Residual Pesticides and Metals: As part of the Environmental Assessment, Lowney Associates collected and analyzed soil samples from various locations throughout the Project Site to evaluate the presence of residual pesticides and metals associated with the orchards formerly located at the Project Site.

(a) Standards: "Risk-Based Screening Levels" are risk-based chemical concentrations developed by the California Regional Water Quality Control Board. The presence of a chemical at concentrations in excess of the screening level indicates that a potential for adverse impacts to human health or the environment may exist and that additional evaluation is warranted. Preliminary Remediation Goals ("PRG") are risk-based chemical concentrations developed by the United States Environmental Protection Agency that are used for screening concentrations to determine if further evaluation is warranted, to prioritize areas of concern, to establish initial cleanup goals and to estimate potential health risk.

(b) Pesticide Results: According to the Environmental Assessment, the pesticide DDT was detected in all soil samples, with the exception of one sample taken from near the northern boundary of the Project site, near East William Street, where none of the evaluated pesticides was detected. The pesticides

beta-BHC, Endrin, Dieldrin, Endosulfan II and/or Endrin Aldehyde were detected in one or more soil samples at various locations throughout the Project site. The concentrations of Endrin, Dieldrin and Endrin Aldehyde were detected at levels above their Risk-Based Screening Level established by the California Regional Water Quality Control Board. The concentrations of DDT, beta-BHC, Endrin, Dieldrin Endosulfan II and Endrin Aldehyde were detected at levels below their residential PRG established by the United States Environmental Protection Agency.

(c) Metals: According to the Environmental Assessment, lead was detected in soil samples taken from various locations throughout the Project site at concentrations above naturally occurring background levels but below the residential PRG or Risk-Based Screening Level. Arsenic was detected in soil samples taken from various locations through the Project site at concentrations above naturally occurring background levels and exceeding both the residential PRG and Risk-Based Screening Level.

1.4.6 Rail Line Contaminants: As part of the Environmental Assessment, an evaluation was performed to determine whether contaminants found in slag-containing ballast, associated with the rail lines formerly located at the site of the Project, were present in the soil. Slag is an industrial byproduct produced as a residue of the smelting of metallic ore or steel.

According to the Environmental Assessment, (i) arsenic and lead were detected at concentrations above naturally occurring background levels and exceeding both the respective residential PRG and Risk-Based Screening Levels; (ii) cadmium was detected at concentrations above naturally occurring background levels and exceeding the residential Risk Based Screening Level but below the Preliminary Remediation Goals; (iii) other metals including, but not limited to, antimony, chromium, cobalt, copper and zinc were detected at concentrations exceeding the respective residential Preliminary Remediation Goals and/or Risk Based Screening Levels; (iv) copper was detected in one (1) sample at a concentration of two thousand and nine hundred (2,900) parts per million which exceeds the California hazardous waste limit of two thousand and five hundred (2,500) parts per million; (v) total petroleum hydrocarbons (as motor oil) were detected in one soil sample at a concentration exceeding the residential Risk Based Screening Level; (vi) polychlorinated biphenyls ("PCB") were detected at concentrations exceeding both the residential Preliminary Remediation Goals and Risk Based Screening Levels; and, (vii) various polycyclic aromatic hydrocarbons (PAHs) were detected at concentrations exceeding the respective residential Preliminary Remediation Goals and/or Risk Based Screening Levels.

1.4.7 Human Health Risk Assessment: The engineering firm TRC prepared a report entitled "Human Health Risk Assessment and Derivation of Soil Cleanup Levels," dated April 6, 2005 ("Risk Assessment"), which evaluates the potential human health risks posed by metals, pesticides and other contaminants (referred to in the Risk Assessment as "constituents of potential concern") at the Project site, to identify the primary exposure pathways and constituents of potential concern that substantially influence the scope and extent of future remedial activities, and to establish numerical soil cleanup levels for constituents of potential concerns that are protective of human health based on a residential use for the Project site.

According to the Risk Assessment, the primary exposure pathways for constituents of potential concern are inhalation of fugitive dust, dermal contact with near-surface soil and incidental ingestion of near-surface soil. Based on those exposure pathways, the Risk Assessment concludes that, without remediation of impacted soils, the potential incremental cancer risk associated with residential use falls outside the range of acceptable risks typically used in regulatory decision making. Similarly, the cumulative non-carcinogenic hazard index associated with residential use exceeds the acceptable limit.

The Risk Assessment provides final soil cleanup levels for constituents of potential concern that are protective of both acute and chronic non-carcinogenic health effects and incremental cancer risks within the acceptable range or limit for residential exposures. The cleanup levels are based on the assumption that future exposure to near-surface soil by residents will occur with the same frequency and duration as would occur at the Project site prior to development. According to the Risk Assessment, modifications to the Project site due to grading and the construction of roads, driveways, sidewalks, foundations and other surface features, would further reduce the potential exposure and risk.

1.4.8 Remedial Action Workplan and Removal Action Report: TRC prepared a remediation plan entitled "Remedial Action Workplan, Union Pacific Railroad - Former William Street Yard, San Jose, California," dated May 10, 2005 ("**Remedial Action Workplan**"), which specifies remediation activities intended to achieve the final soil cleanup levels described in the Risk Assessment. The Remedial Action Workplan was approved by the California Regional Water Quality Control Board on July 19, 2005. The remediation activities described in the Remedial Action Workplan were performed, consisting of (i) excavating the impacted soil materials which exceed the established cleanup goals; (ii) transporting the materials to a permitted offsite facility such as a Class I or Class II landfill; (iii) preventing the migration of fugitive dust from the Project site (through activities such as watering active construction areas, damp sweeping of local streets and placing gravel at the entrance and exit to the construction area); (iv) monitoring dust at selected locations on the perimeter of the construction area; (v) sampling and testing in-place soil in the sidewalls and at the base of the excavated areas to verify that soil exceeding the cleanup goals has been removed; and (vi) backfilling the excavated areas with imported fill which has been tested for metals, petroleum hydrocarbons, pesticides and other contaminants.

Following the performance of the Remedial Action Workplan, TRC prepared a report entitled "Removal Action Report," dated November 16, 2005 ("**Removal Action Report**"). The Removal Action Report documents the removal of impacted soils, railroad tracks, refuse, concrete and buried sheet pilings from the Project site. According to the Removal Action Report, approximately sixty-eight thousand and eight hundred (68,800) tons of impacts soil, seven thousand and seven hundred (7,700) tons of impacted railroad ballast, and fifteen thousand and three hundred (15,300) tons of debris encroaching on the Project site from Martin Park Landfill were excavated and removed from the Project site. Excavations were backfilled with clean material from nearby sources.

The California Regional Water Quality Control Board, San Francisco Bay Region (CRWQCB), has issued a letter entitled "No Further Action Status, Approval of Completion of Closure Activities and Removal Actions, Former Williams Street Yard, 500 Williams Street, San Jose, Santa Clara County," dated November 21, 2005 ("**No Further Action Letter**"). According to the No Further Action Letter, CRWQCB has reviewed the Removal Action Report, and based on the available information and provided that the information provided to the CRWQCB was accurate and representative of site conditions, no further action on the Project site is required.

1.4.9 Other Environmental Matters in the Vicinity of the Project: According to the Environmental Assessment, potential environmental concerns in the vicinity of the Project are (i) the Story Road Landfill, and (ii) Santa Clara Transfer Service, Inc.

"Story Road Landfill" is comprised of four (4) parcels, three (3) of which are located approximately two hundred (200) feet south of the Project on the south side of Interstate 280. The fourth parcel, located approximately one hundred and fifty (150) feet west of the Project, contains no refuse. Story Road Landfill was used as a public domestic waste facility until it was closed in 1978. A diesel fuel line rupture approximately thirty (30) years ago released diesel into the landfill and the underlying soil and ground water. While solvents reportedly were not disposed at Story Road Landfill, a solvent plume exists. A ground water

treatment and leachate extraction system was installed at Story Road Landfill in 1991. In 2001, ground water monitoring wells revealed concentrations of volatile organic compounds ("VOC") at Story Road Landfill exceeding their maximum contaminant level. Methane gas has also been detected. In 2002, the highest concentrations were detected in a gas probe approximately nine hundred (900) feet southeast of the Project site, adjacent to the south side of Interstate 280.

"Santa Clara Transfer Service, Inc." is located at 925 Remillard Court, approximately one-half (½) mile from the Project in the up-gradient ground water flow direction (*i.e.*, where ground water is believed to be at a higher elevation). Due to a tank release in 1990 and the detection of MTBE in the ground water resulting from the release, Santa Clara Transfer Service, Inc. is listed on the Leaking Underground Storage Tank ("LUST") database and the CORTESE database (a list of sites with various toxic conditions maintained by the California Environmental Protection Agency).

1.4.10 Proposition 65: The Safe Drinking Water and Toxic Enforcement Act of 1986, also known as Proposition 65, requires that all businesses (including all builders of residential homes) provide a warning to the public of the dangers of potential harm by exposure to chemicals known to the State of California to cause cancer or birth defects. As of February 11, 2005, the State of California had listed more than 700 such chemicals known to cause cancer or reproductive toxicity.

Certain areas within the Project contain chemicals known to the State of California to cause cancer, birth defects, or other reproductive harm. Such chemicals include and may be found in, without limitation, asphalt and asphalt products, cleaning products, coatings, construction materials, diesel and diesel exhaust, fertilizers, gasoline and gasoline exhaust, hot tubs, pesticides, roofing materials, soils, spas, swimming pools, and tobacco smoke. Pursuant to California Health and Safety Code section 25249.6, Declarant provides the following warning:

WARNING: The Project contains chemicals known to the State of California to cause cancer, birth defects, or other reproductive harm.

The United States Environmental Protection Agency, the California Air Resources Board, and other agencies have measured the presence of formaldehyde in the indoor air of homes in California. Levels of formaldehyde that present a significant cancer risk have been measured in most homes. Formaldehyde is present in the air because it is emitted by a wide variety of building materials and home products purchased by the builder from material suppliers. These materials include carpeting, pressed wood products, insulation, plastics, and glues. Materials included in the construction of the homes in the Project will expose buyers to formaldehyde. The homes in the Project have not been tested.

1.4.11 Limitations of Environmental Disclosure: The Environmental Assessment, Post-Closure Plan, CIWMB Letter, Risk Assessment, Remedial Action Workplan, Removal Action Report, No Further Action Letter and other reports referred to in this Section 1.4, as well as the information set forth in this Section 1.4, may not represent a complete soil or groundwater characterization nor a complete evaluation of potential environmental conditions associated with the Project. Declarant makes no representation or warranty regarding the accuracy or completeness of any of the foregoing, the other studies, reports or analyses which may be available with respect to the Project site or the effectiveness of the remediation requirements of the Remedial Action Workplan. Environmental conditions not reported herein may be found on, or in the vicinity of, the Project site.

ARTICLE II DEFINITIONS

Unless otherwise defined or unless the context clearly requires a different meaning, the terms used in this Declaration, the Map and any grant deed to a Lot shall have the meanings specified in this Article.

2.1 **ADDITIONAL CHARGES**: The term "Additional Charges" shall mean costs, fees, charges and expenditures, including without limitation, attorneys' fees, late charges, interest and recording and filing fees actually incurred by the Association in collecting and/or enforcing payment of assessments, fines and/or penalties.

2.2 **AFFILIATED GENERAL CONTRACTOR**: The term "Affiliated General Contractor" shall mean KB HOME SOUTH BAY INC., a California corporation. Affiliated General Contractor is both a licensed general contractor and a partner, member of, subsidiary of, or other affiliate of Declarant.

2.3 **ALTERATION**: The term "Alteration" shall mean constructing, performing, installing, remodeling, repairing, replacing, demolishing and/or changing any Improvement or changing the color, tone, intensity, shade or hue of any Improvement.

2.4 **ANNEXABLE PROPERTY**: The term "Annexable Property" shall mean the real property described on **Exhibit "A"** and all Improvements situated on such real property.

2.5 **ARCHITECTURAL STANDARDS**: The term "Architectural Standards" shall mean the portion of the Operating Rules which specifically address architectural and aesthetic matters.

2.6 **ARTICLES**: The term "Articles" shall mean the Articles of Incorporation of Autumn Terrace at William Owners' Association, which are or shall be filed in the Office of the Secretary of State of the State of California.

2.7 **ASSOCIATION**: The term "Association" shall mean Autumn Terrace at William Owners' Association, its successors and assigns, a nonprofit mutual benefit corporation incorporated under the laws of the State of California.

2.8 **BOARD**: The term "Board" shall mean the Board of Directors of the Association.

2.9 **BUDGET**: The term "Budget" shall mean a pro forma operating budget prepared by the Board in accordance with Section 6.7.1 (Preparation and Distribution of Budget) of this Declaration.

2.10 **BUILDER**: The term "Builder" shall mean Declarant and Affiliated General Contractor. Any documents, materials, notices, information, or other papers provided to an Owner by Builder pursuant to Title 7 shall be deemed to have been provided by both Declarant and Affiliated General Contractor. Any documents, materials, notices, information or other papers provided to Declarant or Affiliated General Contractor by an Owner pursuant to Title 7 shall be deemed to have been provided to Builder. Any action taken by Declarant or Affiliated General Contractor pursuant to Title 7 shall be deemed to be the authorized action of Builder.

2.11 **BYLAWS:** The term "**Bylaws**" shall mean the Bylaws of the Association and any amendments thereto.

2.12 **CITY:** The term "**City**" shall mean the City of San Jose, California.

2.13 **COMMON AREA:** The term "**Common Area**" shall mean (a) Lots A, B and C, as shown on the Map, (b) Paseos, and (c) Private Drives. The term "**Common Area**" shall also mean any property described as Common Area in a Declaration of Annexation and any real property estate or interest owned by the Association. Common Area includes all Improvements situated thereon or therein.

2.14 **COUNTY:** The term "**County**" shall mean the County of Santa Clara, State of California.

2.15 **DECLARANT:** The term "**Declarant**" shall mean Martin Park, LLC, a Delaware limited liability company. The term "**Declarant**" shall also mean any person or entity if (i) a notice signed by Declarant and such person or entity has been recorded in the County in which such person or entity assumes the rights and duties of Declarant to some portion of the Subject Property or the Annexable Property, or (ii) such person or entity acquires all of the Subject Property and all of the Annexable Property then owned by a Declarant which must be more than one (1) Lot. There may be more than one Declarant at any given time.

2.16 **DECLARATION:** The term "**Declaration**" shall mean this Declaration of Covenants, Conditions and Restrictions of Autumn Terrace at William and includes any subsequently recorded amendments.

2.17 **DECLARATION OF ANNEXATION:** The term "**Declaration of Annexation**" shall mean any instrument recorded in the County which extends the provisions of this Declaration to all or a portion of the Annexable Property or any other property.

2.18 **DISPUTE:** The term "**Dispute**" shall mean any claim, issue or controversy that arises from or is related in any way to (i) the Project, (ii) the relationship between Owner and Builder or (iii) the relationship between the Association and Builder, whether contractual, statutory or in tort. The term "**Dispute**" includes, but is not limited to claims, issues or controversies that arise from or are related to the purchase, sale, condition, design, construction or materials used in construction of any portion of the Project, the agreement between Declarant and an Owner to purchase a Lot or any related agreement, disclosures, or alleged deficiencies in construction, design, specifications, surveying, planning, supervision, testing, or observation of construction related to the Owner's Lot or the Common Area. Notwithstanding anything to the contrary contained herein, the term "**Dispute**" expressly excludes (a) all claims brought by any Owner or the Association under Title 7 and (b) all claims and disputes brought by any Owner under any warranty provided by Builder, including but not limited to any alleged violation of the Fit & Finish Warranty provided to an Owner or the Association by Builder in accordance with the provisions of California Civil Code Section 900 and any disagreement concerning an Owner's or the Association's notification under a warranty, the enforcement and resolution of which shall be governed solely by the dispute resolution provisions provided in the applicable warranty.

2.19 **EVA AREA:** The term "**EVA Area**" shall mean the real property legally described on **Exhibit "B"** attached to this Declaration.

2.20 **FIRST MORTGAGE:** The term "**First Mortgage**" shall mean a Mortgage which has priority under the recording statutes of the State of California over all other Mortgages encumbering a specific Lot.

2.21 **FIRST MORTGAGEE:** The term "**First Mortgagee**" shall mean the Mortgagee of a First Mortgage. The term "**First Mortgagee**" shall also include an insurer or governmental guarantor of a First Mortgage including, without limitation, the Federal Housing Authority and the Department of Veterans Affairs.

2.22 **IMPROVEMENTS:** The term "**Improvements**" shall mean everything constructed, installed or planted on real property, including without limitation, buildings, streets, fences, walls, paving, pipes, wires, grading, landscaping and other works of improvement as defined in California Civil Code Section 3106, excluding only those Improvements or portions thereof which are dedicated to the public or a public or quasi-public entity or utility company, and accepted for maintenance by the public, such entity or utility company.

2.23 **INVITEE:** The term "**Invitee**" shall mean any person whose presence within the Project is approved by or is at the request of the Association or a particular Owner, including, but not limited to, lessees, tenants, and the family, guests, employees, licensees or invitees of Owners, tenants or lessees.

2.24 **LANDSCAPE MAINTENANCE AREA:** The term "**Landscape Maintenance Area**" shall mean the unenclosed portions of each Lot. Each Landscape Maintenance Area extends approximately from one side of the Lot to the other side of the Lot (extending around the corner of corner Lots) and from the back of the curb in front of the Lot to the Residence and front or side fences on the Lot. Each Landscape Maintenance Area includes all landscaping within the Landscape Maintenance Area and the landscape irrigation systems and components, for the Landscape Maintenance Area, including wiring, automatic valves, controllers and timers, wherever located. A portion of a Lot may be part of a Landscape Maintenance Area and part of a Paseo or Private Drive.

2.25 **LOT:** The term "**Lot**" refers to a Separate Interest as defined in California Civil Code Section 1351(l) and shall mean Lots 77 through 98, inclusive, and Lots 104 and 105, as shown on the Map, excluding those portions of Lots which are defined as Paseos and Private Drives in this Declaration. The term "**Lot**" shall also mean any Lot described as such in a Declaration of Annexation. Lot includes all Improvements situated thereon or therein.

2.26 **MAINTAIN:** The term "**Maintain**", "**Maintaining**" or "**Maintained**" (but not the word "**maintenance**") shall mean taking all actions reasonably necessary to satisfy (a) the requirements and obligations imposed by a Maintenance Manual, (b) all requirements and schedules in any warranty offered by Builder, (c) all requirements and schedules in all warranties provided by manufacturers of components used within the Common Area or a Lot and (d) all commonly accepted maintenance practices to keep an Improvement in first class condition and repair and to prolong the life of the materials and construction of the Improvements. Actions include but are not limited to regular inspections, painting, maintenance, refinishing, repairing, replacing and reconstructing the Improvement, and in the case of landscaping, irrigating and fertilizing the landscaping. The Owners and the Association shall have no responsibility to Maintain any Improvement Maintained by a third party or a public or a quasi-public entity or utility company even if the third party or the public or quasi-public entity or utility company fails to perform all actions required by this Section.

2.27 **MAINTENANCE MANUAL:** The term "**Maintenance Manual**" shall mean the Association Maintenance Manual and the Owner Maintenance Manual, unless otherwise provided.

2.27.1 **Association Maintenance Manual:** The term "**Association Maintenance Manual**" shall mean the documents which establish procedures, practices, specifications, scopes and intervals for the Association to Maintain the Improvements for which the Association is responsible. The initial Association Maintenance Manual for the first Phase will be delivered to the Association concurrently with the first

conveyance of Common Area to the Association. There may be more than one (1) Association Maintenance Manual at any given time, each of which applies to different Improvements.

2.27.2 Owner Maintenance Manual: The term "**Owner Maintenance Manual**" shall mean the document entitled "Homeowner Maintenance Guide" which establishes procedures, practices, specifications, scopes and intervals for the Owner to Maintain the Improvements for which an Owner is responsible. The Owner Maintenance Manual will be given to the Owners of each Lot by Builder prior to or when Declarant conveys title to the Lot. The Maintenance Manual applicable to a specific Lot may be different from the Maintenance Manual applicable to a different Lot.

2.28 MAP: The term "**Map**" shall mean the final map of Tract 9644, filed for record on June 14, 2006, in Book 802 of Maps at Pages 15 through 20, inclusive, in the Official Records of the County, including any subsequently recorded amended final maps, parcel maps, certificates of correction, lot line adjustments and/or records of survey. The term "Map" shall also mean any recorded final map described in a Declaration of Annexation.

2.29- MEMBER: The term "**Member**" shall mean an Owner.

2.30 MORTGAGE: The term "**Mortgage**" shall mean any duly recorded mortgage or deed of trust encumbering a Lot.

2.31 MORTGAGEE: The term "**Mortgagee**" shall mean a Mortgagee under a Mortgage as well as a beneficiary under a deed of trust.

2.32 NOTICE AND HEARING: The term "**Notice and Hearing**" shall mean the procedure which gives an Owner notice of an alleged violation of the Project Documents and the opportunity for a hearing before the Board.

2.33 OPERATING RULES: The term "**Operating Rules**" shall mean the rules adopted by the Board, including the Architectural Standards.

2.34 OWNER: The term "**Owner**" shall mean the holder of record fee title to a Lot, including Declarant as to each Lot owned by Declarant. If more than one person owns a single Lot, the term "Owner" shall mean all owners of that Lot. The term "Owner" shall also mean a contract purchaser (vendee) under an installment land contract but shall exclude the contract vendor and any person having an interest in a Lot merely as security for performance of an obligation.

2.35 PARTY FENCE: The term "**Party Fence**" shall mean any portion of a fence or wall which is constructed and placed so as to physically separate two (2) adjoining Lots, whether the fence or wall is situated approximately along a common Lot boundary or an easement boundary.

2.36 PASEO: The term "**Paseo**" shall mean (i) those portions of Lots 77 through 88, inclusive, which are shown on the Map as "6.5' P.I.E.E.," (ii) those portions of Lots 89 through 92, inclusive, which are shown on the Map as "7.3' P.I.E.E.," (iii) those portions of Lots 80 and 88 which are shown on the Map as "11' P.I.E.E.," (iv) those portions of Lot 84 which are shown on the Map as "11.5' P.I.E.E.," (v) those portions of Lot 88 which are shown on the Map as "9' P.I.E.E.," (vi) those portions of Lot 92 which are shown on the Map as "11.3' P.I.E.E.," (vii) those portions of Lots 93 and 94 which are shown on the Map as "10.5' P.I.E.E.," (viii) those portions of Lots 95 and 96 which are shown on the Map as "3.5' P.I.E.E.," and (ix) those portions of Lots 97 and 98 which are shown on the Map as "2.5' P.I.E.E." The term "Paseo" shall also mean

any property described as a Paseo in a Declaration of Annexation. Each Paseo includes all Improvements situated thereon or therein, including without limitation, lighting.

2.37 **PHASE:** The term "Phase" shall mean any Lots and/or Common Area which are simultaneously made subject to the provisions of this Declaration either by recording this Declaration or by recording a Declaration of Annexation. More than one Phase may be established in any Declaration of Annexation.

2.38 **PRIVATE DRIVE:** The term "Private Drive" shall mean (i) those portions of Lots 73 through 100, inclusive, Lot 104, Lot 105, and Lot A, which are shown on the Map as "25' E.A.E., P.I.E.E., P.S.E. & P.U.E.," (ii) those portions of Lot A which are shown on the Map as "3' P.S.E.," and (iii) those portions of Lots 73, 74, 76, 85, 86, 88, 89, 90, 92, 97, 99 and 100 which are shown on the Map as "2' P.S.E." The approximate dimensions of each Private Drive are shown on the Map; however, the actual boundaries of the Private Drive extend from the curb on one side of the Private Drive to the curb on the other side of the Private Drive and include the driveway aprons up to the garage doors. Each Private Drive includes all Improvements situated thereon or therein, including without limitation, lighting. The term "Private Drive" shall also mean any property described as such in a Declaration of Annexation.

2.39 **PROJECT:** The term "Project" shall mean the Subject Property and any property described in a Declaration of Annexation.

2.40 **PROJECT DOCUMENTS:** The term "Project Documents" shall mean the Articles, Bylaws, this Declaration and the Operating Rules.

2.41 **PUBLIC REPORT:** The term "Public Report" shall mean a Final Subdivision Public Report issued by the Department of Real Estate of the State of California for one or more Phases of the Project.

2.42 **RESIDENCE:** The term "Residence" shall mean a dwelling situated on a Lot, including any garage also situated on a Lot.

2.43 **RESTORE:** The term "Restore" shall mean repairing, rebuilding or reconstructing a damaged Improvement to substantially the same condition and appearance in which it existed prior to being damaged.

2.44 **SUBJECT PROPERTY:** The term "Subject Property" shall mean the real property described in Section 1.1.1 (Property Owned By Declarant) and all Improvements thereon.

2.45 **TITLE 7:** The term "Title 7" shall mean Title 7, Part 2 of Division 2 of the California Civil Code (Section 895, *et seq.*) as amended from time to time.

2.46 **TITLE 7 NOTICE:** The term "Title 7 Notice" shall mean the document entitled "Notice of Non-Adversarial Procedure, Notice to Successors In Interest, and Notice of Builder's Agent for Notice Under California Civil Code Sections 912(f), 912(h), and 912(e)" recorded against all or a portion of the Project. There may be more than one (1) Title 7 Notice, each of which is applicable to different Improvements.

2.47 **VISIBLE:** The term "Visible" shall mean the item described can be seen by a six (6) foot tall person standing on the described area, or if no area is described, on any portion of the street which provides access to the Residence.

2.48 **YARD:** The term "Yard" shall mean (a) the portions of the Lot which are bordered on at least three (3) sides by fences, walls, the exterior surface of a Residence or a combination thereof and (b) any Yard

Easement which is appurtenant to the Lot. The actual boundaries of the Yard are to the exterior finished surfaces of the Residence, fence, gate and/or walls which enclose the Yard. The term "Yard" includes all Improvements situated thereon or therein.

2.49 **YARD EASEMENT**: The term "Yard Easement" shall mean those portions of a Lot which are shown as "YE for the Benefit of Lot [Lot number]" on **Exhibit "C"** attached to this Declaration. The approximate dimensions of each Yard Easement are shown on Exhibit C. The term "Yard Easement" shall also mean any property described as a Yard Easement in a Declaration of Annexation.

ARTICLE III

OWNERSHIP AND EASEMENTS

3.1 **NON-SEVERABILITY**: The interest of each Owner in the use and benefit of the Common Area shall be appurtenant to the Lot owned by the Owner. Any conveyance of any Lot shall automatically transfer the right to use the Common Area without the necessity of express reference in the instrument of conveyance. The ownership interests in the Common Area and Lots described in this Article are subject to the easements described, granted and reserved in this Declaration. Each of the easements described, granted or reserved herein shall be established upon the recordation of this Declaration and shall be enforceable as equitable servitudes and covenants running with the land for the use and benefit of the Owners and their Lots superior to all other encumbrances applied against or in favor of any portion of the Project.

3.2 **OWNERSHIP OF LOTS**: Title to each Lot in the Project shall be conveyed in fee to an Owner.

3.3 **OWNERSHIP OF COMMON AREA**: Title to or a legal ownership interest in the Common Area in each Phase shall be conveyed to the Association prior to or concurrently with the conveyance of the first Lot in that particular Phase to an Owner. The Association shall be deemed to have accepted the Common Area conveyed to it when (i) a grant deed conveying title to the Common Area has been recorded in the Official Records of the County and (ii) assessments for the Phase in which the Common Area is located have commenced.

3.4 **OWNERSHIP OF PARTY FENCES**: Each Owner of a Lot upon which a Party Fence is situated shall own that portion of the fence or wall from the surface which faces the Owner's Lot up to the center of the Party Fence.

3.5 **EASEMENTS**: The easements and rights specified in this Article are hereby created and shall exist whether or not they are also set forth in individual grant deeds to Lots. By reference to this Declaration, each grant deed to a Lot shall be deemed to be conveyed with the benefit of and subject to all applicable easements set forth in this Section.

3.5.1 **Adjoining Property**: Declarant shall have, and hereby expressly reserves, a right and easement over and across the Common Area for the purposes of reasonable ingress to and egress from, over and across the Project, including private roads and pathways, to the Annexable Property until all of the Annexable Property is annexed to the Project.

3.5.2 **Annexation of Annexable Property**: Upon the recordation of a Declaration of Annexation, the Lots and the Owners of Lots in the annexed Phase shall have all of the rights and easements specified in this Article and the Lots and the Owners of Lots in the Project prior to annexation shall have all of the easements specified in this Article as though the annexed Phase were initially part of the Project.

3.5.3 Association: The Association and its duly authorized agents and representatives shall have a non-exclusive right and easement as is necessary to perform the duties and obligations of the Association set forth in the Project Documents, including the right to enter upon Lots, subject to the limitations contained in this Declaration.

3.5.4 Common Area: Every Owner shall have a non-exclusive right and easement for the ingress, egress, use and enjoyment of the Common Area, including Paseos and Private Drives, which shall be appurtenant to and shall pass with the title to every Lot, subject to the following provisions:

(a) The right of the Board, after Notice and Hearing, to suspend an Owner's right to use any recreational facilities;

(b) The right of the Association to grant, convey and dedicate fee title to or easements over all or any portion of the Common Area; and

(c) Any easement which affects the Common Area or which is set forth in the deed which conveys the Common Area to the Association.

3.5.5 Encroachment: Non-exclusive rights and easements are reserved and granted (i) for the benefit of each Lot, as dominant tenement, over, under and across each other Lot and the Common Area, as servient tenement, and (ii) for the benefit of the Common Area, as dominant tenement, over, under and across each Lot, as servient tenement. Such easements shall be for the purposes of encroachment, support, occupancy and use of such portions of Lots and/or Common Area as shall be encroached upon, used and occupied by the dominant tenement as a result of any original construction design, accretion, erosion, deterioration, decay, errors in original construction, movement, settlement, shifting or subsidence of any building or structure or any portion thereof. If any portion of the Project is partially or totally destroyed, the encroachment easement shall exist for any replacement structure which is rebuilt pursuant to the original construction design. The easement for the encroaching Improvement shall exist for as long as the encroachment exists, provided that no easement for encroachment shall be created due to the willful misconduct of the Association or any Owner. Any easement for encroachment may but need not be cured by Alteration of the Improvement.

3.5.6 Governmental Entities: All governmental and quasi-governmental entities, agencies and utilities and their agents shall have a non-exclusive easement over the Common Area for the purposes of performing their duties within the Project.

3.5.7 Landscape Maintenance Areas: The Association shall have a non-exclusive easement over the Landscape Maintenance Areas to Maintain and irrigate the Landscape Maintenance Areas.

3.5.8 Mailboxes: Each Owner whose mailbox is not located on that Owner's Lot shall have a non-exclusive easement to use the mailbox over those portions of the Project on which the mailbox is located.

3.5.9 Map: The Common Area and Lots are subject to all easements and rights of way shown on the Map.

3.5.10 Party Fences: Each Owner of a Lot containing a Party Fence shall have a reciprocal non-exclusive easement over and across such portions of the contiguous Lot as are necessary to Maintain the Party Fence.

3.5.11 Paseos: The Association and every Owner shall have a non-exclusive right and easement for the ingress, egress, use and enjoyment of the Paseos, which shall be appurtenant to and shall pass with the title to every Lot, subject to the provisions of this Declaration. Each Paseo may be used for the purposes of (i) pedestrian ingress and egress, (ii) installing, using, operating and Maintaining utilities, (iii) installing, using, operating and Maintaining storm drainage Improvements and irrigation, and (iv) installing, operating and Maintaining pathways, sidewalks and landscaping and other Improvements situated on or in the Paseo.

3.5.12 Private Drives: Each of the following groups of Lots share a Private Drive as shown in the following table.

Private Drives	
Lots 73 - 80	Lots 81 - 88
Lots 89 - 96	Lots 97 & 98 & Lot A
Lots 99, 100, 104 & 105	

The Owners of each Lot in each group are each hereby granted a non-exclusive right and appurtenant easement over the Private Drive on each other Lot in the same group. The Association shall have a non-exclusive right and appurtenant easement over the Private Drive on each Lot in the Project. Each Private Drive may be used for the purposes of (i) ingress to and egress from the Lots, (ii) installing, operating, using, and Maintaining utilities which serve any or all of the Lots, (iii) installing, operating, using, and Maintaining storm drainage Improvements and irrigation which serve any or all of the Lots, and (iv) installing, operating, using, and Maintaining the Private Drive surface, curbs, gutters, and other Improvements situated on or in the Private Drive. Improvements within each Private Drive shall be Maintained as provided in Article V of this Declaration. Additional Private Drives may but are not required to be identified in one or more Declarations of Annexation.

3.5.13 Right of Entry to Inspect: Declarant hereby reserves for itself, and for its agents, employees, contractors, and/or subcontractors (collectively, "**Declarant Parties**"), the right to enter in and upon the Common Area for the purposes of performing an annual inspection of the Common Area and Improvements thereon. The purpose of any inspection shall be to ascertain the condition of Common Area Improvements. Declarant Parties shall give the Association reasonable advance written notice of the date and time of any inspection. During the inspection, the Association shall provide access to the interiors of any Common Area structures. After completing any inspection, Declarant Parties may give the Association a written report which describes the results of the inspection and makes recommendations for action that Declarant Parties believes is appropriate for the Association to take to Maintain Improvements for which the Association is responsible. This right of entry shall exist until the date which is eleven (11) years following the date of completion of the Common Area in the last Phase of the Project.

3.5.14 Right of Entry to Perform Work: Declarant hereby reserves for itself, and for its agents, employees, contractors, and/or subcontractors (collectively, "**Declarant Parties**"), the right to enter in and upon those portions of (a) the Common Area, (b) each Lot and (c) each Residence that are necessary or appropriate (as determined in Declarant Parties' reasonable discretion) for the purposes of performing repairs or doing other work that (i) has been agreed to by the Association and Declarant Parties or by an Owner and Declarant Parties or (ii) Declarant Parties elects to perform pursuant to California Civil Code Section 918. Declarant Parties shall give all affected parties at least seventy two (72) hours advance notice

of the dates and times work will be performed (except in an emergency for which no notice is required). Notice shall be written or verbal.

3.5.15 **Right to Photograph:** Declarant hereby reserves a non-exclusive easement and right in gross to display, use and distribute for any and all purposes photographs, video recordings and similar reproductions of all Residences and Improvements constructed anywhere in the Project.

3.5.16 **Storm Drains:** There are reserved and granted for the benefit of each Lot and the Common Area, over, under, across and through the Project, except Residences, non-exclusive easements for surface and subsurface storm drains and the flow of water in accordance with natural drainage patterns and the drainage patterns and Improvements installed or constructed by Declarant. Additionally, this Declaration and each Lot and the Common Area shall be subject to all easements granted by Declarant to install and Maintain drainage Improvements necessary for the development of the Project.

3.5.17 **Support:** The Association and each Owner shall have a non-exclusive right and easement appurtenant to the Common Area and to all Lots through each Lot and the Common Area to support and Maintain the Common Area and all Lots.

3.5.18 **Utilities:** Each Owner shall have a non-exclusive right and easement over, under, across and through the Project, except for portions of the Project on which a structure is situated, for utility lines, pipes, wires and conduits installed by Declarant. Additionally, this Declaration and each Lot and the Common Area shall be subject to all easements granted by Declarant to install and Maintain utilities necessary for the development of the Project.

3.5.19 **Yards:** Each Lot listed in the table, below, as a Dominant Tenement is hereby granted a non-exclusive easement appurtenant to it over, under, through and across the Yard Easement on the adjoining Lot listed in the table, below, as the Servient Tenement.

DOMINANT TENEMENT	SERVIENT TENEMENT	DOMINANT TENEMENT	SERVIENT TENEMENT
Lot 78	Lot 77	Lot 79	Lot 80
Lot 82	Lot 81	Lot 83	Lot 84
Lot 86	Lot 85	Lot 87	Lot 88
Lot 90	Lot 89	Lot 91	Lot 92
Lot 94	Lot 93	Lot 95	Lot 96
Lot 104	Lot 105		

Each Yard Easement is part of a Yard. Each Yard Easement may be used for the purposes specified and is subject to the restrictions placed on it in Section 4.19 (Yard Easements) of this Declaration.

ARTICLE IV USE RESTRICTIONS

4.1 **ALTERATIONS:** Except as otherwise specifically provided in this Declaration, no Alteration may be made to any Improvement until plans have been submitted and approved pursuant to Article XI (Architectural and Landscaping Control).

4.2 **ANIMALS:** An Owner may keep not more than a total of two (2) dogs, cats and other customarily uncaged household pets within the Owner's Lot. Each Owner may also keep a reasonable number of small caged animals, birds or fish. Unless the Operating Rules increase the number or type of animals which may be kept, no other animals or pets are permitted in the Project. The Board shall have the right to prohibit the keeping of any pet which, after Notice and Hearing, is found to be a nuisance to other Owners. No animals may be kept for commercial purposes. No dog shall be allowed in the Common Area unless it is under the control of a responsible person by leash. Each Owner or Invitee shall clean up after its pet so that the Common Area is in the same condition it was in immediately preceding its use by any pet permitted on the Common Area by the Owner or Invitee.

4.3 **ANTENNAS AND SATELLITE DISHES:** No outside television antenna, microwave or satellite dish, aerial, or other such device (collectively "Video Antennas") with a diameter or diagonal measurement in excess of one (1) meter shall be erected, constructed or placed on any Common Area or Lot. Video Antennas with a diameter or diagonal measurement of one (1) meter or less may be installed only if they conform to the Architectural Standards and, if then required by the Architectural Standards, any necessary approval is obtained in accordance with the provisions of Article XI (Architectural and Landscaping Control). Reasonable restrictions which do not significantly increase the cost of the Video Antenna system or significantly decrease its efficiency or performance may be imposed.

4.4 **DRAINAGE:** No Owner shall make any Alteration to the drainage patterns and facilities in the Project until plans have been submitted and approved pursuant to Article XI (Architectural and Landscaping Control) and any public authority with jurisdiction over the Alteration.

4.4.1 **Positive Drainage:** This Declaration provides notice to each Owner to devote great care and attention to grading and to establishing and maintaining positive drainage away from the entire foundation line of the Owner's Residence. Positive drainage is achieved by shaping Lot grades, establishing drainage "swales" or installing underground area drains. The swales and drains provide a receptacle and conduit to drain water away from the foundation, and the rear, side and front of the Residence to offsite drainage disposal. Swales also prevent drainage water from moving across a Lot to another Lot, Common Area or other property. This Declaration also provides notice to each Owner that if existing drainage swales established on the Lot and around the Residence are interrupted, blocked, filled, or otherwise altered, serious damage can result. Drainage must not be allowed to pond in a Yard or run against or under a Residence, foundation, garage floor, driveway or other Improvement. Serious damage can result even during a short period of time.

4.4.2 **Down Spouts:** If a Residence constructed by Declarant has a roof gutter system and down spouts which are directly connected to the Project's storm drainage system, the Residence shall remain connected to the Project storm drainage system at all times. The Owner of such a Residence may not alter the Residence in any manner which results in additional roof waters draining anywhere other than directly into the Project's storm drainage system.

4.5 **EXTERIOR LIGHTING:** No Owner shall remove, damage or disable any exterior light, regardless of where located, which is either photocell operated or connected to the Association's electric service.

4.6 **INVITEES:** Each Owner shall be responsible for compliance with the provisions of the Project Documents by that Owner's Invitees. An Owner shall promptly pay any Reimbursement Assessment levied and/or any fine or penalty imposed against an Owner for violations committed by that Owner's Invitees.

4.7 **LANDSCAPE MAINTENANCE AREAS:** No Alteration may be made by an Owner within a Landscape Maintenance Area without first obtaining approval of the Board. Unless otherwise determined by the Board, any Owner who adds landscaping in any Landscape Maintenance Area shall Maintain the additional landscaping. The Association shall not be responsible for any damage caused to any such added landscaping as long as the damage occurs in the ordinary course of the Association's regular landscape maintenance program.

4.8 **MINERAL EXPLORATION:** No Lot shall be used to explore for or to remove any water, oil, hydrocarbons or minerals of any kind without the approval of the Board and only if permitted by local ordinances.

4.9 **OPERATING RULES:** Owners and their Invitees shall comply with all provisions of this Declaration, the Bylaws and the Operating Rules.

4.10 **PARKING:** Vehicles shall not be parked anywhere in the Project except in compliance with the provisions of this Section.

4.10.1 **Common Area:** No part of the Common Area may be used for repair, construction or reconstruction of any vehicle.

4.10.2 **Garages:** Vehicles of any type may be parked in a garage. Garage doors shall remain closed, except when the garage is in use. Garages shall be kept sufficiently clear so as to permit parking of the number of vehicles for which the garage was designed.

4.10.3 **Private Drives:** Parking is not permitted on any portion of Private Drives, including driveways.

4.10.4 **Removal:** As long as applicable ordinances and laws are observed, including the requirements of California Vehicle Code Section 22658.2 if applicable, any vehicle which is parked in violation of the provisions of this Declaration may be removed at the sole expense of the Owner of the vehicle.

4.10.5 **Streets:** The streets are public and street parking is regulated by local ordinance.

4.10.6 **Vehicle Restrictions:** No boat, trailer, camper, commercial vehicle, mobile home, recreational vehicle or any inoperable vehicle shall be parked or stored anywhere in the Project where Visible from adjacent Lots, streets or Common Area.

4.11 **REFUSE:** All garbage, trash and accumulated waste material shall be placed in appropriate covered containers. Containers for recyclable materials need not be covered. Any containers provided by the Association may be stored in locations designated by the Board. Residents must keep all containers for recyclable materials, garbage, trash, and accumulated waste material either in their respective Garages or

within enclosed Yards at all times except as otherwise provided in this Section 4.11. Containers provided by Owners may be placed where Visible, in the location directed by the local garbage collection company, only on the night before and the day that pick-up is to occur.

4.12 RENTAL OF LOTS: An Owner may not rent or lease a Lot for a period less than thirty (30) days or in violation of any agreement to which the Owner is a party. Any lease or rental agreement shall specify that the tenant is subject to all provisions of the Project Documents and a failure to comply with any provision of the Project Documents shall constitute a default under the lease or rental agreement. Before renting or leasing a Lot, the Owner shall provide a copy of the Project Documents to each tenant and notify the Board of the lease or rental. All rights to the use and enjoyment of Common Area shall be exercised by the tenant rather than by the Owner of the leased or rented Lot; however, the Owner shall not be relieved of the obligations and duties imposed by this Declaration.

4.13 SIGNS: All signs displayed in the Project shall be attractive and compatible with the design of the Project and shall comply with all applicable state and federal laws and local ordinances. The only signs of any kind which may be displayed to the public view on or from any Lot or the Common Area shall be as follows:

4.13.1 Declarant: Signs may be displayed by Declarant on Common Area or unsold Lots, as Declarant deems appropriate, advertising Lots owned by Declarant for sale or rent;

4.13.2 Legal Proceedings: Signs required by legal proceedings may be displayed;

4.13.3 Non-Commercial: Non-commercial signs, posters, flags, or banners may be displayed in accordance with the provisions of California Civil Code Section 1353.6. Any such sign or poster may not exceed nine (9) square feet in size and any such flag or banner may not exceed fifteen (15) square feet in size.

4.13.4 Project Identification: Appropriate signs may be displayed by the Association to identify the Project;

4.13.5 Sale or Rent: One (1) sign of reasonable dimensions may be placed on a Lot advertising the Lot for sale or rent; and

4.13.6 Signs Approved By Board: Other signs, posters and notices approved by the Board or specified in the Operating Rules or in this Declaration may be posted in locations designated by the Board.

4.14 SPORTS EQUIPMENT: No basketball standards, sports apparatus or similar equipment ("Sports Equipment") shall be attached to the exterior of any Residence or permanently installed on any Lot unless approved in accordance with the provision of Article XI (Architectural and Landscaping Control). Sports Equipment may be temporarily placed (but not permanently installed) on portions of a Lot if the Sports Equipment is not Visible from adjacent Lots or the Common Area. In addition, if permitted by the Operating Rules, an Owner may temporarily place (but not install) Sports Equipment (a) on a Private Drive or Common Area or (b) on a Lot where the Sports Equipment is Visible. Otherwise, Sports Equipment is prohibited in these areas. The Operating Rules may define what time intervals constitute "temporary."

4.15 USE AND OCCUPANCY OF RESIDENCES: Each Residence may be used for (i) residential purposes, (ii) uses within Residences which cannot be prohibited under federal or state law and (iii) uses permitted by local ordinance (provided that home occupations must be conducted in a manner that does not materially and adversely impact the ability of other Owners to use and enjoy the Project). Otherwise, no business of any kind shall be established, operated, permitted or constructed in any portion of the Project,

except for the business of Declarant in completing the development and disposition of the Lots in the Project. No Residence shall be permanently occupied by any more than two (2) persons per bedroom. No Owner may permit or cause anything to be done in or kept on or in a Lot which might obstruct or interfere with the rights of other Owners or which would be noxious, harmful or unreasonably offensive to other Owners. Each Owner shall comply with all of the requirements of all federal, state and local governmental authorities, and all laws, ordinances, rules and regulations applicable to the Owner's Lot.

4.16 USE OF COMMON AREA: All use of Common Area is subject to the Operating Rules. All persons residing within the Project may enjoy the use of all facilities in the Common Area as long as they abide by the terms of the Project Documents. There shall be no obstruction of any part of the Common Area. Nothing shall be stored or kept in the Common Area without the prior consent of the Board. Nothing shall be done in or kept in the Common Area which will increase the rate of insurance on the Common Area without the prior consent of the Board. No Owner shall permit anything to be physically done in or kept in the Common Area or any other part of the Project which might result in the cancellation of insurance on any part of the Common Area, which would interfere with rights of other Owners, or which would be a nuisance, noxious, harmful or unreasonably offensive to other Owners. No Owner or Invitee shall perform any act which results in damage to the Common Area. The provisions of this Declaration concerning using, Maintaining and managing the Common Area are subject to any rights or limitations established by any easements or other encumbrances which encumber the Common Area.

4.17 WIND CHIMES: No wind chimes or other similar noise-producing ornaments or items shall be attached to the exterior of any Residence or installed on any Lot.

4.18 WINDOW COVERINGS AND TINTING: All drapes, window shades or other window coverings installed in the windows of a Residence which are Visible from the exterior of the Residence shall comply with the Operating Rules, if applicable, and shall be of a neutral color, such as white, off-white, or beige. Any drapes or other window covering installed by Declarant in model residences or in compliance with the Operating Rules may remain for the useful life thereof. Window coverings shall be installed on all windows Visible from the exterior of the Owner's Residence within ninety (90) days after conveyance of the Lot, unless the Operating Rules provide otherwise. Owners may not attach tinting or film of any kind to the windows, doors or other glass surfaces serving the Owner's Residence.

4.19 YARD EASEMENTS: The Owners of the Lot which is identified as a "Dominant Tenement" have a limited right to use portions of the Lot identified as a "Servient Tenement." Dominant and Servient Tenements are identified in Section 3.5.19 (Yards) of this Declaration.

4.19.1 Use By Owner of Dominant Tenement: The Yard Easement described in Section 3.5.19 (Yards) of this Declaration may be used by the Owner of the Dominant Tenement as an extension of the Yard on the Dominant Tenement, subject to the restrictions contained in this Section. The Owner of the Dominant Tenement is responsible for collecting the storm water that falls or flows into the Yard Easement in the storm drainage system of the Dominant Tenement.

4.19.2 Use By Owner of Servient Tenement: The Owner of the Servient Tenement is hereby granted the right to enter in and upon those portions of the Dominant Tenement which are not occupied by the Residence or Garage for the purposes of performing such work during daylight hours as may be necessary or advisable in connection with Maintaining the Residence constructed on the Servient Tenement, or the Servient Tenement itself. The Owner of the Servient Tenement shall have no liability for damage to or removal of any Improvement, including landscaping, which exists in the Yard Easement in violation of this Section 4.19. Notice of entry shall be given at least ninety-six (96) hours in advance, except in an emergency when no notice is required. Notice may be written or verbal.

4.19.3 Restrictions: Improvements built or placed within the Yard Easement are subject to the following restrictions in addition to the requirement to comply with the provisions of Article XI (Architectural and Landscaping Control):

(a) No Improvement other than overhanging eaves of a Residence, down spouts, storm drainage Improvements and landscaping may be built or placed within the Yard Easement;

(b) Nothing may be attached to or placed or thrown against the Residence on the Servient Tenement by the Owner or residents of the Dominant Tenement;

(c) No combustible or flammable materials may be placed or stored in the Yard Easement except for portable barbeques;

(d) Nothing, including dirt or fill, may be placed against the Residence on the Servient Tenement;

(e) All drainage and irrigation installed by the Owner of the Dominant Tenement must be done so that all water is directed away from the foundation of the Residence on the Servient Tenement; the grade and drainage may not be altered in any manner which may direct water towards or trap water against the Residence on the Servient Tenement;

(f) The Owner of the Dominant Tenement shall Maintain all Improvements installed within the Yard Easement, including the fence that encloses the Yard;

(g) The Owner of the Dominant Tenement shall not move or otherwise alter the course of the fence that encloses the Yard Easement area; and

(h) Nothing may be placed upon, over or under the Yard Easement that will interfere with the rights of the Owner of the Servient Tenement to access and Maintain the exterior of the Owner's Residence.

4.19.4 Disputes: If a dispute should arise between the Owners with respect to the application of this Section or any other matters pertaining to using or Maintaining the Yard Easement, the dispute shall be submitted to the Board for resolution. The decision of the Board shall be final.

ARTICLE V IMPROVEMENTS

5.1 MAINTAINING COMMON AREA AND IMPROVEMENTS: Except as otherwise specifically provided in this Declaration or a Declaration of Annexation, the Association shall Maintain the Common Area, all Improvements situated in, upon or under the Common Area and any Improvements which a Declaration of Annexation provides are to be Maintained by the Association. The Association shall provide for all necessary services and cause all acts to be done which may be appropriate or proper to Maintain the Common Area and Improvements in first class condition. A Declaration of Annexation may impose additional obligations on the Association.

5.1.1 Paseos: The Association shall Maintain Paseos.

5.1.2 Private Drives: The Association shall Maintain Private Drives, including sweeping them as needed.

5.1.3 Regular Inspections: The Association shall regularly inspect all major components of the Common Area at least once each year. One of the primary purposes of the inspection shall be to determine how to extend the life of Common Area Improvements and to prevent damage to such Improvements resulting from the Association's neglect or the failure to properly and adequately Maintain.

5.1.4 Association Maintenance Manual: The Association shall Maintain the Project in compliance with all applicable requirements imposed by the Association Maintenance Manual.

5.1.5 Records: The Association shall keep appropriate records to document that it has performed all inspections and Maintained all Improvements in compliance with the Association Maintenance Manual.

5.2 ALTERATIONS TO COMMON AREA:

5.2.1 Approval: Alterations to any Improvements situated in, upon or under the Common Area may be made only by the Association. A proposal for an Alteration to an Improvement may be made at any meeting. A proposal may be adopted by the Board, subject to the limitations contained in the Bylaws.

5.2.2 Funding: Expenditures to Maintain an existing capital Improvement for which reserves have been collected may be made from the Reserve Account. Subject to the limitations set forth in Section 6.5 (Limitations on Assessments), the Board may levy a Special Assessment to fund any Alteration of an Improvement for which no reserve has been collected.

5.3 MAINTAINING LOTS AND RESIDENCES: Except as otherwise specifically provided in this Declaration or a Declaration of Annexation, each Owner shall Maintain the Owner's Lot, including the Residence and other Improvements located thereon, in compliance with the provisions of the Owner Maintenance Manual, in a manner consistent with the standards established by the Project Documents and in compliance with the Architectural Standards.

5.3.1 Exterior Lighting: Each Owner shall Maintain, at that Owner's sole cost and expense, all exterior lights which are served by that Owner's electric service. All such exterior lights, including bulb, circuit and fixture, which are photocell operated shall be Maintained by the Owner in good working condition at all times. If an Owner fails to Maintain the light on the Owner's garage that provides lighting in the Private Drive within twenty-four (24) hours, the Association shall do so at the Owner's expense. The Association has the right to access the electrical panels on each Lot and to interrupt the electric service when the Association needs to perform maintenance for which the Association is responsible.

5.3.2 Landscape Maintenance Areas: The Association shall Maintain all landscaping within Landscape Maintenance Areas.

5.3.3 Mailboxes: The Association shall Maintain all mailboxes and the support structures for all mailboxes.

5.3.4 Private Drives: The Association shall Maintain all portions of Private Drives, including driveways.

5.3.5 Public Service Easements: The Association shall Maintain each Improvement within the Public Service Easements shown on the Map if (a) the Improvement is not Maintained by the public and (b) the Improvement serves more than one (1) Lot.

5.3.6 Sidewalks: The Association shall Maintain all sidewalks within the Project which provide pedestrian circulation within the Project. Each Owner shall Maintain all other walkways on the Owner's Lot, excluding those within Paseos.

5.3.7 Storm Drainage: If a single drainage Improvement serves two (2) adjoining Lots and the drainage Improvement is situated approximately along the common boundary of those Lots, each Owner shall clear and otherwise Maintain (a) the portions of the drainage Improvement which exclusively serve that Owner's Lot and (b) all portions of the drainage Improvement which are situated within the area the Owner is responsible for Maintaining, irrespective of the fact that the drainage Improvement is used by two (or more) Lots. Each Owner shall clean and otherwise Maintain all other drainage Improvements which serve only that Lot up to and including the point of connection into the portions of the storm drain system which serve other Lots in the Project, irrespective of whether the drainage Improvement is located on Common Area or on one (1) or more Lots. The Association shall Maintain all drainage Improvements from that point of connection up to the point of connection to the publicly Maintained drainage system. All inlets, catch basins and other drainage Improvements shall be cleared and otherwise Maintained so that the Improvements function as they were designed.

5.3.8 Utility Lines Serving A Single Lot: Each Owner shall Maintain those portions of all utility lines which (i) are not Maintained by the public or a quasi-public entity or utility company and (ii) serve only that Owner's Lot, irrespective of whether the utility line is located on Common Area or on one (1) or more Lots.

5.3.9 Utility Lines Serving More Than One Lot: The Association shall Maintain those portions of all utility lines which (i) are not Maintained by the public or a quasi-public entity or utility company and (ii) serve more than one (1) Lot, irrespective of whether the utility line is located on Common Area or on one (1) or more Lots.

5.3.10 Yard Easement: The Owner of each Dominant Tenement shall Maintain the Yard Easement over which it has an easement.

5.4 ALTERATIONS TO LOTS AND RESIDENCES: Alterations may be made to the interior of an Owner's Residence, if the Alterations do not impair the structural integrity of the Residence and if the Owner complies with all laws and ordinances regarding alterations and remodeling. Any proposals for Alterations on Lots or to the exteriors of Residences shall be made in accordance with the provisions of Article XI (Architectural and Landscaping Control).

5.5 MAINTAINING FENCES AND WALLS: If a fence is attached to the top of a wall, that wall shall be deemed to be part of the fence for purposes of this Section.

5.5.1 Party Fences: All costs of Maintaining a Party Fence shall be shared equally by the Owners of the Party Fence, unless the Party Fence was damaged by an Owner or an Owner's Invitees. In that case, all costs of restoring the Party Fence to the condition it was in immediately before the damage shall be borne by the Owner responsible for the damage.

(a) Notice: Maintenance of a Party Fence shall be required when determined necessary or appropriate by any Owner of that Party Fence ("Maintaining Owner"). The Maintaining Owner shall give the other Owner of the Party Fence a written notice which describes the work deemed necessary or appropriate by the Maintaining Owner and an estimate of the costs to perform the work ("Notice"). If the Owner who receives the Notice ("Failing Owner") fails to respond to the Maintaining Owner in writing within fifteen (15) calendar days of receiving the Notice, the Maintaining Owner shall be permitted to Maintain the Party Fence. The Maintaining Owner shall first obtain at least two (2) bids from different licensed contractors, suppliers, or employees which provide a detailed description of the work, the total labor costs and the total costs of materials. Upon completion of the work, the Maintaining Owner shall provide the Failing Owner with a bill for one-half (½) of the costs incurred for Maintaining the Party Fence. The bill shall include copies of invoices and receipts generated by the work ("Bill"). The Bill shall be due and payable by the Failing Owner upon receipt of the Bill.

(b) Right of Contribution: The Maintaining Owner is entitled to, and has a right of contribution from, the Failing Owner. If the Failing Owner does not pay the Bill within thirty (30) days of receipt of the Bill, the Maintaining Owner may enforce the Owner's right to contribution against the Failing Owner by filing an action in small claims or superior court, depending upon the dollar amount of the Bill. The obligation to contribute by the Failing Owner shall run with the land and shall be binding upon and enforceable against the Failing Owner's successors in interest and any judgment obtained from a court may be recorded against the Failing Owner's Lot.

(c) Emergency Exception: Either Owner may take any action that is reasonably necessary to prevent immediate injury to persons or damage to property without providing the notice required in Section 5.5.1(a) (Notice). The Maintaining Owner and Failing Owner shall separately negotiate the division of those costs resulting only from the emergency nature of the repair or replacement.

(d) Disputes: If the Failing Owner disagrees with the Maintaining Owner's determination that maintenance is appropriate or necessary, or if the Owners of the Party Fence do not agree upon any other matter related to the Party Fence, the parties shall participate in alternative dispute resolution in accordance with the provisions of Article 2, Chapter 7, Title 6, Part 4 of Division 2 of the California Civil Code (Section 1369.520, *et seq.*), if applicable, or resolve the dispute by filing an action in small claims or superior court.

5.5.2 Fences Separating Common Area and Lots: The Owner of each Lot shall Maintain each fence which separates that Lot from Common Area (including Paseos and/or Private Drives) except for the surface facing the Common Area (including Paseos and/or Private Drives) which shall be Maintained by the Association. Maintaining includes refinishing the exterior surface of the fence if that surface was previously finished with paint or stain.

5.5.3 West Wall: There is a concrete wall along the western boundary of the Project ("West Wall") which shares a common boundary with each of Lots 1 through 18, inclusive, and Lots 20, 22, 25, 29, 33, 37, 41, 45, 49, 53, 57, 61, 65, 69, 73, 77, 81, 85, 89, 93, 97, as shown on the Map ("West Wall Lots"). The Owner of each West Wall Lot shall Maintain the interior surface of the portion of the West Wall that encloses a portion of the Owner's Lot. The Association shall Maintain the interior surface of the portion of the West Wall that faces an unenclosed portion of a Lot or Common Area. The Association shall perform structural repair and replacement of the West Wall. Prior to commencement of assessments for a particular West Wall Lot, that portion of the West Wall shall be Maintained by Declarant.

5.5.4 Other Fences and Walls: Except as provided in Sections 5.5.1 (Party Fences), 5.5.2 (Fences Separating Common Area and Lots) and 5.5.3 (West Wall) or in a Declaration of Annexation, each Owner shall Maintain all fences, fence posts, gates and walls which (a) are either situated entirely within the boundaries of the Owner's Lot, (b) enclose the Owner's Yard (including any Yard Easement), or (c) separate the Owner's Lot from property located outside the boundaries of the Project. If any portion of a wall or fence extends across a Lot boundary, the adjacent Owners shall cooperate as necessary to permit each Owner to Maintain the portion of the wall or fence which is on that Owner's Lot.

5.6 LANDSCAPING: All landscaping in the Project shall be Maintained in a manner consistent with the standards of design and quality as originally established by Declarant and in accordance with the Maintenance Manual. All landscaping shall be kept in a neat and orderly condition. Any weeds shall be removed and any diseased or dead lawn, trees, ground cover or shrubbery shall be removed and replaced. All lawn areas shall be neatly mowed and trees and shrubs shall be neatly trimmed. Other specific restrictions on landscaping may be established in the Operating Rules. Irrigation systems, if any, shall be kept in good working condition to ensure continued regular watering of landscape areas, and health and vitality of landscape materials.

5.6.1 Common Area: The Association shall Maintain all landscaping located on Common Area.

5.6.2 Landscape Maintenance Areas: The Association shall Maintain all landscaping within Landscape Maintenance Areas.

5.6.3 Yards: Each Owner shall Maintain all landscaping located within the Owner's Yard. If landscaping within Yards is not installed by Declarant, each Owner shall install permanent landscaping within the Owner's Yard within twelve (12) months after the conveyance of the Lot to the Owner (other than a Declarant).

5.6.4 EVA Area: The Association shall Maintain all landscaping, including but not limited to street trees and the irrigation system and its components, located within the landscaped, non-paved portions of the EVA Area.

5.6.5 South 22nd Street: The Association shall Maintain all landscaping, including but not limited to street trees and the irrigation system and its components, within the portions of the public right-of-way located between the sidewalks and the curbs adjacent to that portion of South 22nd Street which runs through the Project.

5.6.6 Interim Phasing Irrigation Expenses: During construction of the Project, Declarant may use water from an Association water meter to serve Annexable Property which is not then annexed into the Project and Maintained by the Association. So long as Annexable Property which is not then annexed into the Project and Maintained by the Association is so served by water connected to the Association's water meter(s), the Association shall have the right to recover from Declarant the amount by which the Association's costs for water service exceed the costs for water service as set forth in the Association's Budget.

5.7 ASSOCIATION'S RIGHT TO ENTER AND MAINTAIN: Except as provided in Section 5.3.1 (Exterior Lighting), if an Owner fails to Maintain an Improvement which that Owner is obligated to Maintain pursuant to this Declaration, and if the Association determines, after Notice and Hearing is provided pursuant to the provisions of the Bylaws, that work must be performed to Maintain the Improvement to preserve the attractiveness, quality, nature and/or value of the Project, the Association may Maintain the Improvement at

the expense of the Owner which shall be charged to the Owner as a Reimbursement Assessment. In order to effectuate the provisions of this Declaration, the Association may enter any Lot whenever entry is necessary to Maintain an Improvement which the Association is authorized to undertake pursuant to this Section. Entry within a Lot shall be made with as little inconvenience to an Owner as practicable and only after reasonable advance written notice of not less than forty-eight (48) hours, except in emergency situations.

5.8 DAMAGE AND DESTRUCTION — ASSOCIATION: If fire or other casualty damage extends to any Improvement which is insured under an insurance policy held by the Association, the Association shall proceed with the filing and adjustment of all claims arising under the existing policies. The insurance proceeds shall be paid to and held by the Association.

5.8.1 Bids: Whenever an Improvement is to be Restored pursuant to this Section, the Board shall obtain such bids from responsible licensed contractors to Restore the damaged Improvement as the Board deems reasonable; and the Board, on behalf of the Association, shall contract with the contractor whose bid the Board deems to be the most reasonable.

5.8.2 Sufficient Proceeds: The cost to Restore the damaged Improvement shall be funded pursuant to the provisions and in the priority established by this Section 5.8.2. A lower priority procedure shall be utilized only if the aggregate amount of funds then available pursuant to the procedures of higher priority are insufficient to Restore the damaged Improvement. The following funds and procedures shall be utilized:

1. The first priority shall be any insurance proceeds paid to the Association under existing insurance policies.

2. The second priority shall be all Reserve Account funds designated for the repair or replacement of the capital Improvement(s) which has been damaged.

3. The third priority shall be funds raised by a Special Assessment against all Owners levied by the Board up to the maximum amount permitted without the approval of the Members in accordance with the limitations set forth in Section 6.5 (Limitations on Assessments).

4. The fourth priority shall be any funds raised by a Special Assessment against Owners levied by the Board pursuant to a vote of the Members pursuant to Section 5.8.3 (Additional Special Assessment).

5.8.3 Additional Special Assessment: If the total funds available to Restore the damaged Improvement pursuant to the first three priorities described in Section 5.8.2 (Sufficient Proceeds) are insufficient to Restore the damaged Improvement, then a special meeting of the Members shall be called for the purpose of voting whether to impose an additional Special Assessment and deciding upon the amount thereof. The Board shall then contract to Restore the damaged Improvement as described above, making use of whatever funds are then available to it.

5.9 DAMAGE OR DESTRUCTION — OWNERS: If all or any portion of a Lot or Residence is damaged by fire or other casualty and the loss is not covered by an insurance policy held by the Association, the Owner of the Improvement shall either (i) Restore the damaged Improvements, unless the Owner complies with the provisions of Article XI (Architectural and Landscaping Control), or (ii) remove all damaged Improvements, including foundations, and leave the Lot in a clean and safe condition. Unless extended by the Board, the Owner must commence such work within one hundred twenty (120) days after the damage occurs and must complete the work within one (1) year thereafter.

5.10 **CONDEMNATION OF COMMON AREA:** If all or any portion of the Common Area is taken for any public or quasi-public use under any statute, by right of eminent domain or by purchase in lieu of eminent domain, the entire award shall be deposited into the Current Operation Account until distributed. The Association shall distribute such funds equally to all Owners and shall represent the interests of all Owners.

ARTICLE VI

FUNDS AND ASSESSMENTS

6.1 **COVENANTS TO PAY:** Declarant and each Owner covenant and agree to pay to the Association the assessments and any Additional Charges levied pursuant to this Article VI.

6.1.1 **Liability for Payment:** The obligation to pay assessments shall run with the land so that each successive record Owner of a Lot shall in turn be liable to pay all such assessments. No Owner may waive or otherwise escape personal liability for assessments or release the Owner's Lot from the liens and charges hereof by non-use of the Common Area, abandonment of the Lot or any other attempt to renounce rights in the Common Area or the facilities or services within the Project. Each assessment shall constitute a separate assessment and shall also be a separate, distinct and personal obligation of the Owner of the Lot at the time when the assessment was levied and shall bind the Owner's heirs, devisees, personal representatives and assigns. Any assessment not paid within fifteen (15) days after its due date is delinquent. The personal obligation of an Owner for delinquent assessments shall not pass to a successive Owner unless the personal obligation is expressly assumed by the successive Owner. No such assumption of personal liability by a successor Owner (including a contract purchaser under an installment land contract) shall relieve any Owner from personal liability for delinquent assessments. After an Owner transfers fee title of record to a Lot, the Owner shall not be liable for any charge thereafter levied against that Lot.

6.1.2 **Funds Held in Trust:** The assessments collected by the Association shall be held by the Association for and on behalf of each Owner and shall be used solely to operate and Maintain the Project as provided in this Declaration.

6.1.3 **Offsets:** No offsets against any assessment shall be permitted for any reason, including, without limitation, any claim that the Association is not properly discharging its duties.

6.2 REGULAR ASSESSMENTS:

6.2.1 **Payment of Regular Assessments:** Regular Assessments for each fiscal year shall be established when the Board approves the Budget for that fiscal year. Regular Assessments shall be levied on a fiscal year basis; however, each Owner shall be entitled to pay the Regular Assessment in twelve (12) equal monthly installments, one installment payable on the first day of each calendar month during the fiscal year, as long as the Owner is not delinquent in the payment of any monthly installment. If an Owner fails to pay any monthly installment by the sixtieth (60th) day after the date the installment was due, the Board may terminate that Owner's right to pay the Regular Assessment in monthly installments and declare the then unpaid balance of the Regular Assessment for that year immediately due and payable. Regular Assessments shall commence for all Lots in each Phase on the first day of the first month following the month in which the first Lot in that Phase is conveyed to an Owner (other than a Declarant) and may commence at any earlier date at the option of Declarant. Declarant may exercise its option to commence Regular Assessments in a Phase at an earlier date, by providing a written notice to the Association which identifies the Phase and specifies the date on which Regular Assessments are to commence.

6.2.2 Allocation of Regular Assessments: The total amount of the Association's anticipated revenue attributable to Regular Assessments as reflected in the Budget for that fiscal year shall be allocated equally among the Lots. After annexation of each Phase, the allocation and assessment of the charges in the Budget shall be reallocated equally among all Lots in the Project, including those in the annexed portions of the Annexable Property.

6.2.3 Exemptions from Regular Assessment: Notwithstanding the provisions of Section 6.2.1 (Payment of Regular Assessments) and Section 6.2.2 (Allocation of Regular Assessments), the Board shall exempt each Owner of a Lot which satisfies paragraph (a), below, and may exempt all Owners if paragraph (b), below, is satisfied, from the payment of a portion of the Regular Assessment levied against that Lot as described in those paragraphs.

(a) Lots: An Owner of a Lot is exempt from payment of that portion of the Regular Assessment which is allocated for defraying operating expenses and reserves directly attributable to landscaping situated on that Owner's Lot for which the Association is responsible until any such landscaping which is to be installed on the Owner's Lot is installed and no one other than the Association has any obligation to Maintain the landscaping.

(b) Other Common Area: Each Owner may be exempted from payment of that portion of the Regular Assessment which is allocated for defraying operating expenses and reserves directly attributable to the existence and use of a common facility (including landscaping) that is not complete at the time Regular Assessments commence until the first to occur of the following events: (i) a notice of completion of the common facility is recorded; (ii) the common facility has been placed into use; or (iii) in the case of landscaping, the landscaping is installed and no one other than the Association has any obligation to Maintain the landscaping.

6.2.4 Non-Waiver of Assessments: If before the expiration of any fiscal year the Association fails to fix Regular Assessments for the next fiscal year, the Regular Assessment established for the preceding year shall continue until a new Regular Assessment is fixed.

6.3 SPECIAL ASSESSMENTS: Subject to the limitations set forth in Section 6.5 (Limitations on Assessments), Special Assessments may be levied in addition to Regular Assessments for (i) constructing capital Improvements, (ii) correcting an inadequacy in the Current Operation Account, (iii) defraying, in whole or in part, the cost of any construction, reconstruction, unexpected repair or replacement of Improvements in the Common Area, or (iv) paying for such other matters as the Board may deem appropriate for the Project. Special Assessments shall be levied in the same manner as Regular Assessments.

6.4 REIMBURSEMENT ASSESSMENTS: The Association shall levy a Reimbursement Assessment against an Owner to (a) reimburse the Association for the costs of repairing damage caused by that Owner or that Owner's Invitee or (b) if a failure to comply with the Project Documents has resulted in (i) an expenditure of monies, including attorneys' fees, by the Association to bring the Owner or the Owner's Lot or Improvements into compliance or (ii) the imposition of a fine or penalty. A Reimbursement Assessment shall be due and payable to the Association when levied. A Reimbursement Assessment shall not be levied by the Association until Notice and Hearing has been provided in accordance with the Bylaws. Reimbursement Assessments may not be enforced by lien.

6.5 LIMITATIONS ON ASSESSMENTS: All Regular and Special Assessments levied by the Board must comply with the provisions of California Civil Code Section 1366, and to the extent applicable, California Civil Code Section 1363.03.

6.6 ACCOUNTS:

6.6.1 Types of Accounts: Assessments collected by the Association shall be deposited into at least two (2) separate accounts with a responsible financial institution, which accounts shall be clearly designated as (i) the Current Operation Account and (ii) the Reserve Account. The Board shall deposit those portions of the assessments collected for current maintenance and operation into the Current Operation Account and shall deposit those portions of the assessments collected as reserves for replacement and deferred maintenance of major components which the Association is obligated to Maintain into the Reserve Account.

6.6.2 Reserve Account: Withdrawal of funds from the Reserve Account shall require the signatures of either two (2) Directors or one (1) Director and one (1) officer of the Association who is not a Director. The Association may expend funds from the Reserve Account only for the purposes set forth in California Civil Code Section 1365.5.

6.6.3 Current Operation Account: All other costs properly payable by the Association shall be paid from the Current Operation Account.

6.7 BUDGET, FINANCIAL STATEMENTS, REPORTS AND STUDIES:

6.7.1 Preparation and Distribution of Budget: The Board shall annually prepare, adopt and distribute a Budget in accordance with the requirements of California Civil Code Section 1365. A summary of the Budget may be distributed in lieu of the entire Budget if the requirements set forth in California Civil Code Section 1365 are satisfied. Each Budget or summary shall be accompanied by the disclosures required by California Civil Code Sections 1365.1 and 1363.850. For the first fiscal year, the Budget shall be substantially based upon the operating budget accepted by the Department of Real Estate of the State of California. After a new Phase has been annexed, the Board shall approve a Budget, which is substantially based upon the operating Budget accepted by the Department of Real Estate of the State of California in connection with the Public Report for that Phase, for the remainder of the current fiscal year for use upon the commencement of Regular Assessments against Lots in the new Phase.

6.7.2 Annual Report: The Board shall annually prepare and distribute an annual report in accordance with the requirements of California Civil Code Section 1365.

6.7.3 Quarterly Reconciliation: If then required by California Civil Code Section 1365, at least quarterly, the Board shall: (i) cause a current reconciliation of the Association's Operating Account(s) to be made and review the same; (ii) cause a current reconciliation of the Association's Reserve Account to be made and review the same; (iii) review the current year's actual reserve revenues and expenses compared to the current year's Budget; (iv) review the most current account statements prepared by the financial institution where the Association has its Operation and Reserve Accounts; and (v) review an income and expense statement for the Association's Operation and Reserve Accounts.

6.7.4 Reserve Account Study: The Board shall (i) cause a study of the Reserve Account to be conducted, (ii) review or cause the study to be reviewed annually and (iii) consider and implement necessary adjustments to the Board's analysis of the Reserve Account requirements as a result of that review in compliance with the provisions of California Civil Code Section 1365.5.

6.8 ENFORCEMENT OF ASSESSMENTS: A lien may not be recorded against an Owner's Lot for failure to pay assessments until all of the requirements of California Civil Code Sections 1367.1 and 1367.4 have been satisfied.

6.8.1 Procedures: In addition to all other remedies provided by law, the Association, or its authorized representative, may enforce the obligations of the Owners to pay each assessment provided for in this Declaration in any manner provided by law or by either or both of the following procedures:

(a) By Suit: The Association may commence and prosecute a suit at law against any Owner personally obligated to pay a delinquent assessment. The suit shall be prosecuted in the name of the Association. Any judgment rendered in any action shall include the amount of the delinquency, and such additional costs, fees, charges and expenditures ("**Additional Charges**") and any other amounts as the court may award. A proceeding to recover a judgment for unpaid assessments may be prosecuted without the necessity of foreclosing or waiving the lien established herein.

(b) By Lien: The Association or a trustee nominated by the Association may commence and prosecute proceedings to establish and/or foreclose assessment liens in accordance with the provisions of California Civil Code Section 1367.1.

6.8.2 Additional Charges: In addition to any other amounts due or any other relief or remedy obtained against an Owner who is delinquent in the payment of any assessments, each Owner agrees to pay such Additional Charges as the Association may incur or levy in collecting the monies due and delinquent from that Owner. All Additional Charges shall be included in any judgment in any suit or action brought to enforce collection of delinquent assessments or may be levied against a Lot as a Reimbursement Assessment. Additional Charges shall include, but not be limited to, the following:

(a) Attorneys' Fees: Reasonable attorneys' fees and costs incurred in the event an attorney(s) is employed to collect any assessment or sum due, whether by suit or otherwise;

(b) Late Charges: A late charge in an amount to be fixed by the Board in accordance with the then current laws of the State of California to compensate the Association for additional collection costs incurred in the event any assessment or other sum is not paid when due or within any "grace" period established by law;

(c) Costs of Suit: Costs of suit and court costs incurred as are allowed by the court;

(d) Interest: Interest on the delinquent assessment and Additional Charges at a rate fixed by the Board in accordance with the then current laws of the State of California; and

(e) Other: Any such other additional costs that the Association may incur in the process of collecting delinquent assessments or sums.

6.8.3 Satisfaction of Lien: All amounts paid by an Owner toward a delinquent assessment shall be credited first to reduce the principal amount of the debt. Within twenty-one (21) days of payment or other satisfaction of a delinquent assessment for which a Notice of Delinquent Assessment was recorded pursuant to California Civil Code Section 1367.1(d), the Association shall record a certificate stating the satisfaction and release of the assessment lien.

6.8.4 Lien Eliminated By Foreclosure: If the Association has recorded a Notice of Delinquent Assessment and the lien is eliminated as a result of a foreclosure of a Mortgage or a transfer pursuant to the remedies provided in the Mortgage, the new Owner of the Lot shall pay to the Association a pro-rata share of the Regular Assessment for each month remaining in the Association's fiscal year after the date of the foreclosure or transfer pursuant to the remedies provided in the Mortgage.

6.8.5 Waiver of Homestead Protections: Each Owner, does hereby waive, to the extent permitted by law, the protections of any declared homestead or homestead exemption or redemption laws under the laws of California as applied to any action to enforce or collect assessments levied by the Association.

6.9 SUBORDINATION OF LIEN: Notwithstanding any provision to the contrary, the liens for assessments created pursuant to this Declaration shall be subject and subordinate to and shall not affect the rights of the holder of a First Mortgage made in good faith and for value. Upon the foreclosure of any First Mortgage on a Lot, any lien for assessments which became due prior to such foreclosure shall be extinguished; provided, however, that after such foreclosure there shall be a lien on the interest of the purchaser at the foreclosure sale to secure all assessments, whether Regular or Special, charged to such Lot after the date of such foreclosure sale, which lien shall have the same effect and shall be enforced in the same manner as provided herein. For purposes of this Section, a Mortgage may be given in good faith or for value even though the Mortgagee has constructive or actual knowledge of the assessment lien provisions of this Declaration.

ARTICLE VII

MEMBERSHIP IN AND DUTIES OF THE ASSOCIATION

7.1 THE ORGANIZATION: The Association is a nonprofit mutual benefit corporation. Its affairs shall be governed by and it shall have the powers set forth in the Project Documents.

7.2 MEMBERSHIP: Each Owner (including Declarant for so long as Declarant is an Owner), by virtue of being an Owner, shall be a Member of the Association. No other person shall be accepted as a Member.

7.2.1 Appurtenant to Ownership: Association membership is appurtenant to and may not be separated from the ownership of a Lot. Membership shall terminate upon termination of Lot ownership. Ownership of a Lot shall be the sole qualification for Association membership. Membership shall not be transferred, pledged or alienated in any way except upon transfer of title to the Owner's Lot (and then only to the transferee of title to such Lot). Any attempt to make a prohibited transfer is void. Membership shall not be related to the use or non-use of the Common Area and may not be renounced. The rights, duties, privileges and obligations of all Members shall be as provided in the Project Documents.

7.2.2 Annexation: Upon the commencement of Regular Assessments in a subsequent Phase, the Owners of the Lots described in the Declaration of Annexation for that Phase shall become Members.

7.3 VOTING: Any action required by law or by the Project Documents to be approved by the Owners, the Members or each class of Members shall be approved, if at all, in accordance with the procedures set forth in the Bylaws.

7.4 OPERATING RULES: Operating Rules may be adopted and changed in accordance with the provisions of California Civil Code Division 2, Part 4, Title 6, Chapter 2, Article 4 (Section 1357.100, *et seq.*), and to the extent applicable, California Civil Code Section 1363.03. In all votes held pursuant to California Civil Code Section 1357.140(d) Class A Members shall be entitled to cast Class A votes, Class B Members shall be entitled to cast Class B votes and all votes shall be counted pursuant to the provisions of Section 4.3.3 (Of the Members) of the Bylaws. Operating Rules may address any matter that is related to the

operation or management of the Project. Each provision of the Operating Rules must be consistent with the Project Documents and may not reduce any standard established by this Declaration. The Operating Rules may include Architectural Standards. Architectural Standards may include, but are not limited to, (a) standards and procedures for architectural review, (b) guidelines for architectural design, placement of buildings, color schemes, exterior finishes and materials, landscaping, fences, and similar features, and (c) a schedule of fees for processing submittals which shall not exceed the amount necessary to defray all costs incurred in processing the submittals. The Architectural Standards may impose different requirements on different Lots if those requirements are reasonable in light of that Lot's topography, visibility or other aesthetic factors.

7.5 TRANSFERS OF COMMON AREA: The Board shall have the exclusive power and right to grant, convey, dedicate, mortgage, or otherwise transfer to any Owner or other person or entity, fee title, easements, exclusive use easements, security rights or other rights or licenses in, on, over or under the Common Area, subject only to the following limitations:

7.5.1 Exclusive Use Rights to Owners: Transfers to Owners which are subject to the provisions of California Civil Code Section 1363.07 require the approval of sixty-seven percent (67%) of the Members in accordance with the Secret Ballot Procedure described in Section 2.7 of the Bylaws (Secret Ballot Procedure).

7.5.2 Value of Property Being Sold: Any sale(s) of Common Area during a fiscal year which have an aggregate fair market value greater than five percent (5%) of the budgeted gross expenses of the Association requires the approval of the Members in accordance with the provisions of Section 3.3 of the Bylaws (Limitations on Powers of Board). The Board may rely upon an appraisal provided to it or obtained by it at the time of the sale. The Secret Ballot Procedure does not apply to this approval unless the approval is also subject to Section 7.5.1 (Exclusive Use Rights to Owners).

7.6 INSURANCE: The Board shall make every reasonable effort to obtain and keep in full force and effect the insurance policies as provided in this Section. If the Board is unable to purchase a policy or if the Board believes that the cost of the policy is unreasonable, the Board shall call a special meeting of Members to determine what action to take. The Board shall comply with any resolution concerning insurance coverage adopted at such a meeting.

7.6.1 General Provisions and Limitations: All insurance policies shall be subject to and, where applicable, shall contain the following provisions and limitations:

(a) **Underwriter:** All policies (except earthquake insurance) shall be written with a company legally qualified to do business in the State of California and (i) holding a "B" or better general policyholder's rating and a "6" or better financial performance index rating as established by Best's Insurance Reports, (ii) reinsured by a company described in (i), above, or (iii) if such a company is not available, the best rating possible or its equivalent.

(b) **Named Insured:** Unless otherwise provided in this Section, the named insured shall be the Association or its authorized representative, as a trustee for the Owners. However, all policies shall be for the benefit of Owners and their Mortgagees, as their interests may appear.

(c) **Authority to Negotiate:** Exclusive authority to adjust losses under policies obtained by the Association shall be vested in the Board; provided, however, that no Mortgagee having an interest in such losses may be prohibited from participating in any settlement negotiations related thereto.

(d) Contribution: In no event shall the Association's insurance coverage be brought into contribution with insurance purchased by Owners or their Mortgagees.

(e) General Provisions: To the extent possible, the Board shall make every reasonable effort to secure insurance policies providing for the following:

(i) A waiver of subrogation by the insurer as to any claims against the Board, the manager, the Owners and their respective servants, agents and guests;

(ii) That the policy will be primary, even if an Owner has other insurance which covers the same loss;

(iii) That no policy may be cancelled or substantially modified without at least ten (10) days' prior written notice to the Association and to each First Mortgagee listed as a scheduled holder;

(iv) An agreed amount endorsement, if the policy contains a coinsurance clause;

(v) A guaranteed replacement cost or replacement cost endorsement; and

(vi) An inflation guard endorsement.

(f) Term: The period of each policy shall not exceed three (3) years. Any policy for a term greater than one (1) year must permit short rate cancellation by the insureds.

(g) Deductible: The policy may contain a reasonable deductible and the amount of the deductible shall be added to the face amount of the policy in determining whether the insurance equals replacement cost.

7.6.2 Types of Coverage: Unless the Association determines otherwise pursuant to Section 7.6 (Insurance), the Board shall obtain at least the following insurance policies in the amounts specified:

(a) Property Insurance: A Special Form or "All-Risk" policy of property insurance for all insurable Common Area Improvements, including fixtures and building service equipment, against loss or damage by fire or other casualty, in an amount equal to the full replacement cost (without respect to depreciation) of the Common Area, and exclusive of land, foundations, excavation and other items normally excluded from coverage. A replacement cost endorsement shall be part of the policy.

(b) Liability Insurance: A combined single limit policy of liability insurance in an amount not less than Three Million Dollars (\$3,000,000.00) covering the Common Area and all damage or injury caused by the negligence of the Association, the Board or any of its agents or the Owners against any liability to the public or to any Owner incident to the use of or resulting from any accident or intentional or unintentional act of an Owner or a third party occurring in or about any Common Area. If available, each policy shall contain a cross liability endorsement in which the rights of the named insured shall not be prejudiced with respect to any action by one named insured against another named insured.

(c) Worker's Compensation: Worker's compensation insurance to the extent necessary to comply with all applicable laws of the State of California or the regulations of any governmental body or authority having jurisdiction over the Project.

(d) Fidelity Bond: A fidelity bond naming the Board, the Owners, the Association and such other persons as the Board may designate as obligees, in an amount equal to at least one-fourth (1/4) of the total sum budgeted for the Current Operation Account and Reserve Account for the current fiscal year. The fidelity bond shall contain a waiver of any defense based on the exclusion of persons serving without compensation.

(e) Directors and Officers: Errors and omissions insurance covering individual liability of Directors and officers for their negligent acts or omissions while acting in their capacities as Directors and officers in an amount equal to at least the minimum amount specified in California Civil Code Section 1365.7(a)(4).

(f) Other Insurance: Other types of insurance as the Board determines to be necessary to fully protect the interests of the Owners.

(g) Insurance by Owner: Each Owner, at that Owner's sole cost and expense, shall obtain insurance coverage which the Owner considers necessary or desirable to protect that Owner and that Owner's Lot, Residence and personal property; provided, however, that no Owner shall be entitled to procure insurance coverage which decreases the amount which the Association, on behalf of all Owners and their Mortgagees, may realize under any insurance policy which the Association may have in effect at any time.

7.6.3 Annual Review: The Board shall review the adequacy of all insurance, including the amount of liability coverage and the amount of property damage coverage, at least once every year. At least once every three years, the review shall include a replacement cost appraisal of all insurable Common Area Improvements without respect to depreciation. The Board shall adjust the policies to provide the amounts and types of coverage and protection that are customarily carried by prudent owners of similar property in the area in which the Project is situated.

7.7 ANNUAL NOTICES TO MEMBERS: The notices described in this Section shall be given to the Members annually at the same time the Budget is distributed to the Members.

7.7.1 Insurance: A summary of the Association's property damage, general liability, earthquake, flood and fidelity insurance policies as required by California Civil Code Section 1365(e).

7.7.2 Assessments and Foreclosure: The notice required by California Civil Code Section 1365.1.

7.7.3 Assessment Enforcement Procedure: The statement of the Association's policies and practices in enforcing its remedies against Owners for defaults in the payment of Regular and Special Assessments, including the recording and foreclosing of liens against Lots required by California Civil Code Section 1365(d).

7.7.4 Increase in or Levy of Assessments: Notice of any increase in Regular Assessments or the levy of any Special Assessments in accordance with the provisions of California Civil Code Section 1366.

7.7.5 Informal Alternative Dispute Resolution: A description of any internal dispute resolution process adopted by the Association or, if no such process has been adopted, a statement that the Association's informal internal dispute resolution process is that provided in California Civil Code Section 1369.540.

7.7.6 **Formal Alternative Dispute Resolution:** A summary of the provisions of California Civil Code Sections 1369.510 through 1369.590 as required by and in accordance with the provisions of California Civil Code Section 1369.590. The summary shall include the following language:

"Failure of a member of the association to comply with the alternative dispute resolution requirements of Section 1369.520 of the Civil Code may result in the loss of your right to sue the association or another member of the association regarding enforcement of the governing documents or the applicable law."

7.7.7 **Architectural Approvals:** The Association shall provide notice of the requirements for Association approval of proposed Alterations. The notice shall describe the types of Alterations that require approval and shall include a copy of (a) Article XI (Architectural and Landscaping Control) of this Declaration, (b) all sections of the Operating Rules that establish Architectural Standards, and (c) any other provisions of the Project Documents which include procedures used to review and approve or disapprove a proposed Alteration.

7.8 **SCHEDULE OF MONETARY PENALTIES:** If the Board adopts a policy imposing any monetary penalty on or charging any fee to any Owner for a violation of the Project Documents by that Owner or that Owner's Invitee, the Board shall adopt a schedule of the monetary penalties that may be assessed for those violations. The penalties must be consistent with the Project Documents. A copy of the schedule shall be personally delivered or mailed by first-class mail, postage prepaid, to each Owner by the Board. Each time the schedule is modified, the Board shall again deliver a copy to each Owner, either personally or by first-class mail, postage prepaid.

7.9 **CIVIL CODE SECTION 1368:** Upon written request by a Member, the Association shall provide the Member with a copy of any or all items described in California Civil Code Section 1368(a) within ten (10) days of the mailing or delivery of the request. The items required to be made available pursuant to California Civil Code Section 1368 may be kept in electronic form and the Member shall have the option of receiving the items by electronic transmission or machine readable storage media if the Association keeps the items in electronic form. The Association may charge a reasonable fee for this service upon the Association's actual cost to procure, prepare, and reproduce the requested items.

7.10 **AUTHORITY TO REPRESENT ASSOCIATION:** Neither an Owner nor the Association (including its officers and Directors) may represent that the Association or the Members are in favor of or against any proposed residential, commercial, recreational or industrial development or a governmental approval connected with any such development, including, but not by way of limitation, zoning or rezoning decision, specific or general plan amendment or decision, tentative or final map approval or use permit, without the approval of each class of Members.

ARTICLE VIII

DEVELOPMENT RIGHTS

8.1 **LIMITATIONS OF RESTRICTIONS:** Declarant is undertaking the work of developing Lots and other Improvements within the Project. The completion of the development and the marketing, sale, lease, rental and/or other disposition of the Lots is essential to the establishment and welfare of the Subject Property and the Annexable Property as a residential community. In order that the work may be completed and the Project established as a fully occupied residential community as rapidly as possible, nothing in this Declaration shall be interpreted to deny Declarant the rights set forth in this Article.

8.2 **RIGHTS OF ACCESS AND COMPLETION OF CONSTRUCTION:** Until three (3) years after all of the Annexable Property has been annexed to the Project, Declarant, its contractors and subcontractors shall have the right to: (i) obtain reasonable access over and across the Common Area of the Project and/or do within any Lot owned or controlled by it whatever is reasonably necessary or advisable in connection with the completion of the Project; and (ii) erect, construct and use on the Common Area of the Project and/or within any Lot owned or controlled by it such structures as may be reasonably necessary for the conduct of its business to complete the work, establish the Project as a residential community and dispose of the Project in parcels by sale, lease, rental or otherwise. Each Owner acknowledges that: (a) the construction of the Project may occur over an extended period of time; (b) the Owner's quiet use and enjoyment of the Owner's Lot may be disturbed as a result of the noise, dust, vibrations and other nuisances associated with construction activities; and (c) the nuisances will continue until the completion of the construction of the entire Project.

8.3 **SIZE AND APPEARANCE OF PROJECT:** Declarant shall not be prevented from increasing or decreasing the number of Lots that may be annexed to the Project or from changing the exterior appearance of Residences or Common Area structures, the landscaping or any other matter directly or indirectly connected with the Project in any manner deemed desirable by Declarant, if Declarant obtains all governmental consents required by law.

8.4 **MARKETING RIGHTS:** Declarant has the right to: (i) construct, establish and use model homes, signs, banners, flags, inflatable balloons, blimps, sales offices, sales and construction trailers, leasing offices, rental offices, storage areas, parking lots and related facilities in any Lots owned or controlled by Declarant or in Common Area within the Project as is appropriate in the opinion of Declarant for the sale, lease, rental or other disposition of the Lots in the Project and lots in any other neighborhood in the vicinity of the Project in which Declarant is constructing and selling the same or a similar product type ("Related Lots"); (ii) make reasonable use of the Common Area and facilities for the sale, lease, rental or other disposition of Lots and Related Lots; (iii) use any Lots owned or controlled by Declarant in accordance with any promotional programs established from time to time by Declarant; and (iv) conduct its business of disposing of Lots and Related Lots by sale, lease, rental or otherwise; provided, however, Declarant shall pay reasonable rent for the use of any Common Area facilities to the Association if Declarant's use of those Common Area facilities materially interferes with the full use and enjoyment of the Common Area facilities by Owners.

8.5 **TITLE RIGHTS:** This Declaration shall not be construed to constitute a limitation on Declarant's title rights to the Annexable Property prior to its annexation, nor shall it impose any obligation on Declarant or any other person or entity to improve, develop or annex any portion of the Annexable Property. This Declaration shall not be construed to limit the right of Declarant at any time prior to such an annexation to establish additional licenses, easements, reservations, restrictions and rights-of-way for itself, utility companies or others as reasonably necessary for the proper development and disposition of property owned by Declarant.

ARTICLE IX RIGHTS OF MORTGAGEES

9.1 **CONFLICT:** Notwithstanding any contrary provision in the Project Documents, the provisions of this Article shall control with respect to the rights and obligations of Mortgagees specified herein.

9.2 **INSPECTION OF BOOKS AND RECORDS:** Upon request, any Owner or First Mortgagee shall be entitled to inspect and copy the books, records and financial statements of the Association, the Project Documents and any amendments thereto during normal business hours.

9.3 **FINANCIAL STATEMENTS FOR MORTGAGEES:** If an audited financial statement for the immediately preceding fiscal year is available, the Association shall provide a copy to any Mortgagee who makes a written request for it. If an audited financial statement is not available and the Project contains fifty (50) or fewer Lots, any Mortgagee who desires to have an audited financial statement of the Association may cause an audited financial statement to be prepared at the Mortgagee's expense. If an audited financial statement is not available and the Project contains more than fifty (50) Lots, the Association, at its expense, shall prepare an audited financial statement for the immediately preceding fiscal year. The audited financial statement shall be available within one hundred twenty (120) days of the end of the Association's fiscal year. The Association shall provide a copy of any audited financial statement to any Mortgagee who makes a written request for it.

9.4 **MORTGAGE PROTECTION:** A breach of any of the conditions or the enforcement of any lien provisions contained in this Declaration shall not defeat or render invalid the lien of any First Mortgage made in good faith and for value as to any Lot in the Project; but all of the covenants, conditions and restrictions contained in this Declaration shall be binding upon and effective against any Owner of a Lot if the Lot is acquired by foreclosure, trustee's sale or otherwise.

ARTICLE X AMENDMENT AND ENFORCEMENT

10.1 AMENDMENTS:

10.1.1 **Approval:** Prior to the conveyance of the first Lot to an Owner other than a Declarant, any Project Document may be amended by Declarant alone. After the conveyance of the first Lot to an Owner other than a Declarant, the Project Documents may be amended if each of the following requirements is satisfied:

(a) The approval of each class of Members is obtained in accordance with the procedure described in Section 2.7 (Secret Ballot Procedure) of the Bylaws; provided, however, that no provision of this Declaration which provides for a vote of more than fifty-one percent (51%) may be amended by a vote less than the percentage specified in the Section to be amended.

(b) The provisions of Article VIII (Development Rights) and this Section 10.1.1(b) may not be amended without the consent of Declarant until (i) all of the Annexable Property has been annexed to the Project and (ii) all of the Lots in the Project owned by Declarant have been conveyed.

(c) The provisions of Article XII (Annexation), Section 11.1.3 (Declarant Exemption) and this Section 10.1.1(c) may not be amended without the consent of Declarant until all of the Annexable Property has been annexed to the Project and all of the Lots in the Project owned by Declarant have been conveyed.

(d) The provisions of Sections 2.2 (Affiliated General Contractor), 2.10 (Builder), 2.18 (Dispute), 2.26 (Maintain), 2.27 (Maintenance Manual), Sections 3.5.13 (Right of Entry to Inspect), 3.5.14 (Right of Entry to Perform Work), 3.5.15 (Right to Photograph), Section 10.1.2 (Unilateral Amendment and Prospective Application), Section 10.3 (Disputes), Section 10.4 (Binding Arbitration), and this Section

10.1.1(d) may not be amended nor shall other provisions be adopted that purport to eliminate or supersede them without the consent of Builder.

10.1.2 Unilateral Amendment and Prospective Application: If statutory changes are adopted or the law is changed through the decision of a court (collectively "New Law"), Declarant shall have the right to change the provisions of this Declaration which are affected by the New Law as to Common Area and/or Lots then owned by Declarant. Declarant shall record a Supplementary Declaration that (i) describes the Common Area and/or Lots owned by Declarant, (ii) references this Section 10.1.2, (iii) describes the Sections in this Declaration that are affected by the New Law and (iv) contains the new provisions being imposed on the Common Area and/or Lots owned by Declarant. The Supplementary Declaration shall apply only to those portions of the Project then owned by Declarant and shall not have any force or effect as to any Common Area which has been conveyed to the Association or Owners or any Lot which has been conveyed to an Owner.

10.1.3 Restatement: After an amendment is duly approved in accordance with the preceding requirements, the Board may prepare a restatement of the Declaration and record the restatement of the Declaration which restates the entire text of the original document, with these exceptions: (a) changes incorporating all amendments approved by the Owners; (b) changes made to rearrange or delete the text for consistency with the approved amendments; and (c) changes made to delete material no longer legally effective or legally required. Upon recordation of the restatement, the restatement shall supersede the Declaration and all prior amendments in their entirety, without, however, affecting the priority of the Declaration in the chain of title to all properties that are subject to the Declaration, as established by the Declaration's initial date of recordation.

10.1.4 Recordation: Any amendment to this Declaration shall be effective upon the recordation in the Official Records of the County of either (a) a restatement approved by the Board as provided above which includes a statement executed by the President and Secretary of the Association which certifies that the required percentage of Members has approved all amendments made by the restatement and that the form of the restatement was duly approved by a resolution of the Board, or (b) an amending instrument which sets forth the terms of the amendment and includes a statement executed by the President and Secretary of the Association which certifies that the required percentage of Members has approved all amendments made by the amending instrument.

10.2 ENFORCEMENT:

10.2.1 Rights to Enforce: Subject to the provisions of Section 10.3 (Disputes) or Section 10.4 (Binding Arbitration), Declarant, the Association and/or any Owner shall have the power to enforce the provisions of the Project Documents in any manner provided by law or in equity and in any manner provided in this Declaration. In addition to instituting appropriate legal action, the Association may temporarily suspend an Owner's use of the recreation facilities or voting rights and/or levy a fine against an Owner in a standard amount to be determined by the Board from time to time. No determination of whether a violation has occurred may be made until Notice and Hearing has been provided to the Owner pursuant to the Bylaws. If legal action is instituted by the Association, any judgment rendered shall include all appropriate Additional Charges. Notwithstanding anything to the contrary contained in this Declaration, the Association has no power to cause a forfeiture or abridgement of an Owner's right to the full use and enjoyment of the Owner's Lot and Residence, including access thereto, due to the Owner's failure to comply with the provisions of the Project Documents unless the loss or forfeiture is the result of an order of a court or an order pursuant to a final and binding arbitration decision. The provisions of this Declaration are equitable servitudes, enforceable by any Owner, Declarant or the Association against the Association, Declarant or any other Owner or resident in the Project. Except as otherwise provided, Declarant, the Association or any Owner(s) has the right to

enforce, in any manner permitted by law or in equity, any and all of the provisions of the Project Documents, including any decision made by the Association, upon the Owners, Declarant, the Association or upon any property in the Project.

10.2.2 Request to Enforce: If any Owner believes that the Association should take action to enforce any claimed violation of this Declaration, the Owner shall notify the Board in writing of the claimed violation and the Owner's request that the Association take steps to enforce the provision which the Owner claims has been violated. Upon receipt of a request, the Board shall review the matter and shall determine what enforcement action, if any, is appropriate. Neither the Board nor the Association (including its Directors and officers) shall have any obligation to enforce the provision which the Owner claims has been violated if the Board decides not to take any enforcement action.

10.2.3 Violation of Law: The Association may treat any Owner's violation of any state, municipal or local law, ordinance or regulation, in the same manner as a violation of the Project Documents by making such violation subject to any or all of the enforcement procedures set forth in this Declaration, as long as the Association complies with the Notice and Hearing requirements.

10.2.4 Remedies Cumulative: Each remedy provided in this Declaration is cumulative and not exclusive.

10.2.5 No Waiver: The failure to enforce the provisions of any covenant, condition or restriction contained in this Declaration will not constitute a waiver of any right to enforce any such provisions or any other provisions of this Declaration.

10.3 DISPUTES:

10.3.1 Actions Against Declarant: At least ninety (90) days prior to the initiation of any civil action, including arbitration, by the Association against Declarant, the Board shall provide written notice to each Member specifying (a) that a meeting of the Board will be held to discuss problems that may lead to the filing of a civil action or arbitration, (b) the options, including civil actions, that are available to address the problems, and (c) the time and place of the Board meeting. Before the Association institutes any action against Declarant, the Board must obtain the approval of the Members other than Declarant.

10.3.2 Warranty Claims: The resolution and enforcement of all claims brought by any Owner or the Association under any warranty provided by Builder, including but not limited to any alleged violation of the Fit & Finish Warranty provided to an Owner or the Association by Builder in accordance with the provisions of California Civil Code Section 900 and any disagreement concerning an Owner's or the Association's notification under a warranty shall be governed solely by the dispute resolution provisions provided in the applicable warranty.

10.3.3 Title 7 Claims: Any disputes between any Owner and Builder or between the Association and Builder regarding any matters that arise from or are in any way related to Title 7, whether contractual, statutory or tort, including, but not limited to, the condition, design, construction or materials used in construction of any portion of the Project or any deficiency, as that term is defined in California Civil Code Section 896, shall be resolved in accordance with the procedures described in the applicable Title 7 Notice.

10.3.4 Civil Code Section 1363.840: This Section does not apply to any claim that is subject to the provisions of Section 10.3.2 (Warranty Claims) or Section 10.3.3 (Title 7 Claims). Any Dispute between the Association and a Member which is described in California Civil Code Section 1363.810(a) shall

be addressed in accordance with the provisions of California Civil Code Section 1363.840(b) and (c). If the Dispute is not resolved in accordance with the procedures set forth in California Civil Code Section 1363.840(b) and (c), then the Dispute shall be addressed in accordance with the provisions of California Civil Code Section 1369.520. If an Owner fails to comply with the alternative dispute resolution requirements of California Civil Code Section 1369.520, the Owner may lose the Owner's rights to sue the Association or another Owner to enforce the Project Documents or applicable law. If at any point it appears that the Dispute arises from or is in any way related to a warranty or Title 7 claim, then such dispute shall then be resolved in accordance with the procedures described in the applicable warranty or Title 7 Notice and not in accordance with the provisions of this Section 10.3.4.

10.4 BINDING ARBITRATION: Subject to the provisions of Section 10.3.1 (Actions Against Declarant), any Dispute involving Declarant that is not (a) subject to the provisions of Section 10.3.2 (Warranty Claims) or Section 10.3.3 (Title 7 Claims) and (b) which is either not subject to Section 10.3.4 (Civil Code Section 1363.840) or finally resolved by the procedures described in Section 10.3.4 shall be resolved in accordance with the provisions of this Section 10.4.

10.4.1 Mediation: Owner, the Association and Builder agree to submit any and all Disputes to mediation before commencing arbitration. The cost of mediation shall be paid by Builder. Each party to the mediation shall bear its own attorneys' fees and costs in connection with such mediation.

10.4.2 Arbitration: Notwithstanding California Code of Civil Procedure Section 1298.7, if a Dispute is not resolved through mediation, Owner, the Association and Builder shall resolve the Dispute exclusively through binding arbitration conducted in accordance with the rules for residential construction then in effect for the American Arbitration Association ("AAA"). If the rules for residential construction do not exist, the AAA Commercial Arbitration Rules shall apply.

(a) **Selection of Arbitrator:** There shall be only one arbitrator who shall be selected by mutual agreement of the parties. If the parties are unable to agree on an arbitrator within ten (10) days after any party initiates the arbitration, a neutral and impartial arbitrator shall be selected by the AAA.

(b) **Applicable Law and Remedies:** Venue for the arbitration shall be in the County, unless the parties mutually agree to another venue at the time the arbitration is initiated. The arbitrator shall apply California substantive law in rendering a final decision. The arbitrator shall have the power to grant all legal and equitable remedies and award compensatory damages. The arbitration shall commence and conclude promptly, in accordance with the commercial rules of the AAA.

(c) **Resolution Opportunity:** When the arbitrator is prepared to make the award, the arbitrator shall first so inform the parties, who shall have ten (10) days to attempt to resolve the matter by a binding agreement between them. If the parties resolve the matter, the arbitrator shall not make any award. If the parties do not so resolve the matter within the ten (10) day period, the arbitrator shall make the award on the eleventh day following the arbitrator's notice of being prepared to make the award.

(d) **Fees and Costs:** The arbitrator may award the prevailing party those costs that would be awarded to the prevailing party under California law if the matter had been resolved by court trial. In addition, to the extent permitted by law, the arbitrator may award or divide the post-initiation arbitration fees and costs to prosecute and complete the arbitration as the arbitrator finds just and reasonable. If the arbitrator makes no award or division of such arbitration fees and costs, the parties shall divide them equally with each party bearing one-half of such fees and costs of the arbitration, to the extent permitted by law. Notwithstanding anything herein to the contrary, the parties shall each bear their own costs, expenses and attorneys' fees.

(e) Participation by Other Parties: An Owner, the Association and Builder, to such extent any such party is defending a claim in the arbitration, may, if it chooses, have all necessary and appropriate parties included as parties to the arbitration.

(f) Final and Binding Award. The parties agree to be bound by the decision of the arbitrator, which shall be final and non-appealable.

(g) Judgment by a Court: Judgment upon the decision rendered by the arbitrator may be entered in any court having proper jurisdiction or application may be made to such court for judicial acceptance of the award and an order of enforcement.

(h) Federal Arbitration Act: Because many of the materials and products incorporated into the home are manufactured in other states, the development and conveyance of the Property evidences a transaction involving interstate commerce and the Federal Arbitration Act (9 U.S.C. §1 et seq.) now in effect and as it may be hereafter amended will govern the interpretation and enforcement of the arbitration provisions set forth herein.

10.4.3 AGREEMENT TO ARBITRATE: BUILDER, THE ASSOCIATION AND EACH OWNER AGREE TO HAVE ANY DISPUTE DECIDED BY NEUTRAL ARBITRATION IN ACCORDANCE WITH THE FEDERAL ARBITRATION ACT AND THE CALIFORNIA ARBITRATION ACT, TO THE EXTENT THE CALIFORNIA ARBITRATION ACT IS CONSISTENT WITH THE FEDERAL ARBITRATION ACT. BUILDER, THE ASSOCIATION AND EACH OWNER AGREE THAT BY SUBMITTING TO NEUTRAL ARBITRATION, THEY ARE EACH GIVING UP ALL RIGHTS THEY MIGHT POSSESS TO HAVE THE DISPUTE LITIGATED IN A COURT OR JURY TRIAL. BUILDER, THE ASSOCIATION AND OWNER ARE ALSO GIVING UP JUDICIAL RIGHTS TO DISCOVERY AND APPEAL, UNLESS THOSE RIGHTS ARE SPECIFICALLY INCLUDED IN THIS "ARBITRATION OF DISPUTES" PROVISION. IF BUILDER, THE ASSOCIATION OR OWNER REFUSE TO SUBMIT TO ARBITRATION AFTER AGREEING TO THIS PROVISION, BUILDER, THE ASSOCIATION OR OWNER MAY BE COMPELLED TO ARBITRATE UNDER THE AUTHORITY OF THE CALIFORNIA CODE OF CIVIL PROCEDURE. BUILDER'S, THE ASSOCIATION'S AND EACH OWNER'S AGREEMENT TO THIS ARBITRATION PROVISION IS VOLUNTARY.

ARTICLE XI ARCHITECTURAL AND LANDSCAPING CONTROL

11.1 APPLICABILITY:

11.1.1 Generally: Except as otherwise provided in this Declaration, proposals for Alterations (which includes all landscaping) are subject to the provisions of this Article and may not be made until approved in accordance with the provisions of this Article.

11.1.2 Exceptions: The provisions of this Declaration requiring architectural approvals do not apply to repainting or refinishing any Improvement in the same color, hue, intensity, tone, and shade or repairing or replacing any Improvement with the same materials. The provisions of this Declaration requiring architectural approvals include planting or removing landscaping within Yards. The Architectural Standards may establish additional exceptions from time to time.

11.1.3 Declarant Exemption: The provisions of this Declaration requiring architectural approvals do not apply to the original construction of any Improvements on a Lot by Declarant, its agents, contractors or employees.

11.1.4 Relationship to Governmental Approvals: Proposals for Alterations may also be subject to review and approval by state or local governmental entities or agencies. Satisfying the provisions of this Declaration does not automatically satisfy any requirement for governmental approval, permitting or inspection. All approvals, permits and inspections which are required under local, state or federal law for any proposed Alteration are the responsibility of the Owner and must be obtained by the Owner in addition to the approvals required by this Declaration.

11.2 RESERVATION TO DECLARANT: Notwithstanding the power of the Board to appoint committees, Declarant hereby reserves to itself the right to appoint an Architectural Committee in accordance with the provisions of this Article.

11.3 MEMBERS: The Architectural Committee ("Committee") shall initially consist of a chairman and two (2) additional members. Persons appointed to the Committee by the Board shall be Members of the Association. Persons appointed to the Committee by Declarant need not be Members of the Association.

11.3.1 Declarant's Right to Appoint: Declarant may appoint all of the original members of the Committee and all replacements until the first anniversary of the issuance of the Public Report for the first Phase of the Project. After the date which is one (1) year from the date of issuance of the Public Report for the first Phase of the Project, Declarant may appoint all but one (1) member of the Committee. Declarant's right to appoint Committee members shall terminate when title to ninety percent (90%) of the total of all Lots in the Project and all Lots proposed for the Annexable Property have been conveyed or the fifth (5th) anniversary of the issuance of the Public Report for the first Phase of the Project, whichever first occurs.

11.3.2 Board's Initial Right to Appoint: On the first anniversary of the date of issuance of the Public Report for the first Phase of the Project, the Board shall have the power to appoint one member of the Committee. A Declarant appointed member must resign if there is then no vacant Committee seat.

11.3.3 Vacancies: The Board may appoint a replacement for any member of the Committee originally appointed by the Board who resigns or otherwise fails to act. Declarant may appoint a replacement for any member of the Committee originally appointed by Declarant who resigns or otherwise fails to act, unless such member resigns in order to enable the Board to appoint a member as provided in Section 11.3.2 (Board's Initial Right to Appoint). If Declarant fails to appoint a replacement it is authorized to appoint within fifteen (15) days after receiving notice of the vacancy, the Board shall appoint the replacement.

11.3.4 Rights of Board: When Declarant's right to appoint members of the Committee terminates:

(a) The Board has the right to appoint, remove and replace all of the members of the Committee, as the Board determines in its discretion; and

(b) The Board may increase the number of Committee members or decide to dissolve the Committee and undertake the Committee's responsibilities. If the Board decides to dissolve the Committee, it may adopt a resolution and appoint a new Committee at any time in the future.

11.4 DUTIES AND POWERS:

11.4.1 Duties: The Committee shall review and approve, conditionally approve, or deny all plans, submittals, applications and requests made or tendered to it by Owners or their agents, pursuant to the provisions of this Declaration. In connection therewith, the Committee may investigate and consider the architecture, design, layout, landscaping, energy conservation measures, water conservation measures, fence detail, and other features of the proposed Improvements.

11.4.2 Powers: The Committee may adopt procedures for the transaction of business, scheduling of meetings, conduct of meetings and related matters. The Committee may also adopt criteria, consistent with the purpose and intent of this Declaration to be used in making its determination to approve, conditionally approve or deny any matter submitted to it for decision.

11.4.3 Consultants: With the consent of the Board, the Committee may hire and the Association shall pay consulting architects, landscape architects, urban designers, engineers, inspectors, and/or attorneys in order to advise and assist the Committee in performing its duties.

11.5 APPLICATION FOR APPROVAL OF IMPROVEMENTS: Except as provided in Section 11.1.2 (Exceptions) and Section 11.1.3 (Declarant Exemption), any Owner who wants to perform any Alteration for which approval is required shall notify the Committee in writing of the nature of the proposed work and shall furnish such information as may be required by the Architectural Standards or reasonably requested by the Committee.

11.6 BASIS FOR APPROVAL OF IMPROVEMENTS: As conditions precedent to approval of any matter submitted to it, the Committee must ordinarily be able to find that (i) the plans and specifications conform to this Declaration and to the Architectural Standards in effect at the time the proposal was submitted and (ii) the proposed Alteration will be aesthetically consistent with the other Improvements in the Project as to harmony of exterior design, landscaping, color schemes, exterior finishes, visibility with respect to existing structures and environment, and placement of structures with respect to topography and finished grade elevation. The Association may not disapprove an application for approval based on a provision of the Project Documents that has been superseded by a law or regulation that is applicable to the Project.

11.7 FORM OF APPROVALS, CONDITIONAL APPROVALS AND DENIALS: All approvals, conditional approvals and denials must be in writing. Any proposal which has not been approved, conditionally approved or rejected in writing within sixty (60) days from the date of submission will be deemed approved. Any denial of a proposal must (a) state the reasons for the decision and (b) if the decision was made by the Committee (rather than the Board), notice of the appeal rights provided in Section 11.12 (Appeal of Decision of Committee) of this Declaration.

11.8 WORK: Upon approval of the Committee, the Owner must diligently proceed with the commencement and completion of all work so approved. Completion of the work approved must occur within one (1) year following the approval of the work unless the Committee grants an extension. This Section shall not be interpreted to extend any other time period imposed by this Declaration. If the Owner fails to complete the work within the required time period, the Committee may notify the Owner in writing of the non-compliance and proceed in accordance with the provisions of Section 11.10 (Failure to Remedy the Non-Compliance).

11.9 DETERMINATION OF COMPLIANCE: Any work performed, whether or not the Owner obtained proper approvals, may be inspected and a determination of compliance made as follows:

11.9.1 Notice of Completion: Upon the completion of any work performed by an Owner for which approval was required, the Owner must give written notice of completion to the Committee.

11.9.2 Inspection: Within sixty (60) days after the Committee's receipt of the Owner's notice of completion, or, if the Owner fails to give a written notice of completion to the Committee within the completion period specified in Section 11.8 (Work), a designee of the Committee may inspect the work performed and determine whether it was performed and completed in substantial compliance with the approval granted. If the Committee finds that the work was not performed or completed in substantial compliance with the approval granted or if the Committee finds that the approval required was not obtained, the Committee shall notify the Owner in writing of the non-compliance. The notice shall specify the particulars of non-compliance and require the Owner to remedy the non-compliance.

11.10 FAILURE TO REMEDY THE NON-COMPLIANCE: If the Committee has determined that an Owner has not constructed an Improvement consistently with the specifications of the approval granted or within the time permitted for completion and if the Owner fails to remedy such non-compliance in accordance with the provisions of the notice of non-compliance, then after the expiration of thirty (30) days from the date of such notification, the Committee shall notify the Board, and the Board shall provide Notice and Hearing to consider the Owner's continuing non-compliance. At the Hearing, if the Board finds that there is no valid reason for the continuing non-compliance, the Board shall determine the estimated costs of correcting it. The Board shall then require the Owner to remedy or remove the same within a period of not more than forty-five (45) days from the date of the Board's determination. If the Owner does not comply with the Board's ruling within such period or within any extension of such period as the Board, in its discretion, may grant, the Board may either remove the non-complying Improvement or remedy the non-compliance. The costs of such action shall be assessed against the Owner as a Reimbursement Assessment.

11.11 WAIVER: Approval of any plans, drawings or specifications for any work proposed, or for any other matter requiring approval shall not be deemed to constitute a waiver of any right to deny approval of any similar plan, drawing, specification or matter subsequently submitted for approval.

11.12 APPEAL OF DECISION OF COMMITTEE: This Section does not apply if the Board has dissolved the Committee or during the period of time that a majority of the Members of the Committee have been appointed by Declarant. If the Owner who applied or who the Committee determined should have applied for approval of an Alteration on a Lot or Residence disputes the jurisdiction or powers of the Committee, the interpretation or application of an Architectural Standard or a decision of the Committee applicable to the denial or conditional approval of the Owner's application for a proposed Alteration (collectively referred to as "Decision"), that Owner may appeal such Decision to the Board. Any request to the Board for appeal of a Decision must be written. Within twenty (20) days of receipt by the Board of an Owner's written appeal request, the Board shall notify the Owner of the time, date and place of the Board meeting at which the appeal of the Decision of the Committee will take place. The notice shall be given at least fifteen (15) days prior to the date set for the hearing and may be delivered either personally or by mail. If delivery is made by mail, it shall be deemed to have been delivered seventy-two (72) hours after it has been deposited in the United States mail, first class, postage prepaid, addressed to the Owner at the address given by the Owner to the Board for the purpose of service of notices or to the address of the Owner's Lot if no other address has been provided. After the meeting has taken place, the Board shall notify the Owner of its determination. The determination of the Board shall become effective not less than five (5) days after the date of the hearing. The determination of the Board shall be final.

11.13 **NOLIABILITY**: If members of the Committee have acted in good faith, neither the Committee nor any member will be liable to the Association or to any Owner for any damage, loss or prejudice suffered or claimed due to: (a) the approval or disapproval of any plans, drawings and specifications, whether or not defective; (b) the construction or performance of any work, whether or not pursuant to approved plans, drawings, and specifications; (c) the development of any property within the Project; or (d) the execution and filing of any estoppel certificate, whether or not the facts therein are correct.

11.14 **EVIDENCE OF APPROVAL OR DISAPPROVAL**: After a determination of compliance is made pursuant to Section 11.9 (Determination of Compliance), the Board may issue a written Notice of Architectural Determination. The Notice of Architectural Determination must be executed by any two (2) Directors and shall certify that as of the date of the Notice either (i) the work completed complies with the provisions of this Declaration and the approval(s) issued by the Committee ("**Notice of Approval**") or (ii) the work completed does not comply with the provisions of this Declaration or the approval(s) issued by the Committee ("**Notice of Disapproval**"). A Notice of Disapproval must also identify the particulars of the non-compliance. Any successor in interest of the Owner will be entitled to rely on a Notice of Architectural Determination with respect to the matters set forth. Each Owner must disclose to the Owner's subsequent purchaser any Notice of Disapproval unless the Owner has a subsequently issued Notice of Approval which covers the same Alteration. The Notice of Architectural Determination will be conclusive as between the Association, the Committee, Declarant and all Owners and such persons deriving any interest through any of them. Any Owner may make a written request that the Board prepare and execute a Notice of Architectural Determination, and the Board must do so within sixty (60) days of its receipt of the request.

ARTICLE XII ANNEXATION

12.1 **PROPERTY WHICH MAY BE ANNEXED**: Property may be added to the Project by annexation only in accordance with the provisions of this Article.

12.1.1 **Annexable Property**: All or any portion of the Annexable Property may be added to the Project as one or more subsequent Phases without the approval of the Association or any Owner if the annexation of the Phase is in substantial conformance with a plan of phased development approved by the Department of Real Estate of the State of California. The issuance of a Public Report for a Phase by the Department of Real Estate of the State of California shall be evidence that the annexation of that Phase was in substantial conformance with a plan of phased development.

12.1.2 **Other Property**: Property other than the Annexable Property may be annexed to the Project only with the approval of two-thirds (2/3) of each class of Members.

12.2 **PROCEDURE FOR ANNEXATION**: In addition to any required approval by Members, final map(s) or final parcel map(s) and a Declaration of Annexation for the property to be annexed must be recorded. The Declaration of Annexation must: (i) describe the portion of the Annexable Property to be annexed; (ii) describe any Common Area within the Annexable Property to be annexed; (iii) set forth the ownership of any such Common Area; and (iv) specify that all of the covenants, conditions and restrictions of this Declaration will apply to the annexed portions of the Annexable Property in the same manner as if it were originally covered by this Declaration. The Declaration of Annexation must also provide that if and only if at the time of the first conveyance of a Lot in a Phase Declarant has rented or leased Lots in that Phase for a period of at least one (1) year after the most recent review of a budget for that Phase by the Department of Real Estate, Declarant shall pay to the Association the following amount: an amount equal to that portion of the Regular Assessment which would have been attributable to each Lot in that Phase and which would

have been allocable to reserves for replacement and deferred maintenance of Common Area Improvements had Regular Assessments in that Phase commenced at the time of the most recent review of a budget for that Phase. Such amount, if any, must be paid to the Association prior to or concurrently with the first conveyance of a Lot in that Phase. The Declaration of Annexation may also (i) impose any additional covenants, conditions or restrictions on the Annexable Property that are appropriate to include the Annexable Property in the Project or to reflect differences in nature, if any, of the Improvements to be constructed on the Annexable Property, (ii) provide for a specified date on which assessments will commence for Lots in that Phase, provided that the date specified may not be later than the first day of the first month following the month in which the first Lot in that Phase is conveyed to an Owner and (iii) describe additional Improvements to be Maintained by the Association regardless of whether the Improvements are located on property to be owned by the Association. No Declaration of Annexation may diminish the covenants, conditions or restrictions established by this Declaration or discriminate between the Owners in the Project. No Declaration of Annexation may alter or change the general common plan or scheme created by this Declaration or affect the provisions hereof as covenants running with the land or as equitable servitudes.

12.3 EFFECT OF ANNEXATION: After complying with the procedures for annexation and upon the commencement of assessments for Lots in the annexed Phase, Owners of Lots in the annexed Phase will be Members, will be subject to this Declaration and will be entitled to use all Common Area in the Project. The Association must reallocate the Regular Assessments so as to assess each Owner of a Lot in the Project for a proportionate share of the total expenses of the Project.

12.4 AMENDMENT AND DEANNEXATION: Declarant has the right, at its sole option, to (i) amend a Declaration of Annexation by executing and recording an amendment of the Declaration of Annexation provided that the amendment is consistent with this Article, or (ii) remove from the Project any property described in a recorded Declaration of Annexation for a Phase by executing and recording a rescission of the Declaration of Annexation, as long as all of the following conditions are satisfied at the time of the execution and recordation of the amendment or rescission: (a) no Lot in that Phase has been conveyed to an Owner; (b) no Common Area in that Phase has been conveyed to the Association; and (c) assessments have not commenced for any Lot in the annexed property.

ARTICLE XIII MISCELLANEOUS PROVISIONS

13.1 BINDING: This Declaration is for the benefit of and binding upon all Owners, their respective heirs, legatees, devisees, executors, administrators, guardians, conservators, successors, purchasers, tenants, encumbrancers, donees, grantees, mortgagees, lien holders and assigns.

13.2 BONDED OBLIGATIONS: When Common Area Improvements have not been completed prior to the issuance of the original Public Report to which the Common Area is subject and the Association is the obligee under a bond or other arrangement ("**Bond**") to secure performance of the commitment of Declarant to complete the Improvements, the following provisions apply.

13.2.1 Improvements Complete: If all Improvements in the planned construction statement appended to the Bond are covered by one or more recorded notices of completion, the Board shall execute whatever documents are required by the surety to release the Bond.

13.2.2 Improvements Not Complete: If a notice of completion has not been filed within sixty (60) days after the completion date specified for that Improvement in the planned construction statement

appended to the Bond, the Board shall consider and vote on the question of action by the Association to enforce the obligations under the Bond. If the Association has given a written extension for the completion of any Common Area Improvements, the Board shall consider and vote whether to take action if a notice of completion has not been filed within thirty (30) days after the expiration of the most recent extension.

13.2.3 Action by Members: If the Board decides not to act or fails to initiate action to enforce bonded obligations, then upon receipt by the Board of a petition for a special meeting signed by Members entitled to cast five percent (5%) or more of the total number of votes which may be cast by the Members, the Board shall call a special meeting of the Members. If the Board has failed to initiate action, the Members shall determine whether they wish to initiate action. If the Board has decided not to initiate action, the Members shall determine whether to override the Board's decision. The meeting shall be held not less than thirty-five (35) nor more than forty-five (45) days after receipt of the petition by the Board. At the meeting, the approval of the Members, excluding the vote of Declarant, to take action to enforce the obligations under the Bond shall be deemed to be the decision of the Association. The Board shall thereafter implement the decision by initiating and pursuing appropriate action in the name of the Association.

13.2.4 Release of Bond: On satisfaction of Declarant's obligation to complete the Common Area Improvements, the Association shall acknowledge in writing that it approves the release of the Bond and shall execute any other documents as may be reasonably necessary to effect the release of the Bond. The Association may not condition its approval on the satisfaction of any condition other than completion of the Common Area Improvements. If the Association breaches any of the foregoing obligations, it will be liable to Declarant for any damages incurred thereby, including reasonable attorneys' fees. Any dispute between Declarant and the Association regarding the completion of Common Area Improvements shall be resolved in accordance with the provisions of the escrow instructions which accompany the Bond.

13.3 CONFLICT: To the extent there are conflicts or inconsistencies between a Maintenance Manual and this Declaration, the provision which requires the highest standard of Maintenance shall prevail. In the event of any conflicts or inconsistencies between this Declaration and the Bylaws or the Operating Rules, this Declaration shall prevail.

13.4 CONSTRUCTION OF PROVISIONS: The provisions of this Declaration are to be liberally construed to effect its purpose of creating a uniform plan for the development and operation of a planned development pursuant to the provisions of the Davis-Stirling Common Interest Development Act, California Civil Code Section 1350, et seq.

13.5 DOCUMENTS TO BE GIVEN TO PURCHASERS: As soon as practical before transferring title to the Lot, the Owner shall give to the purchaser copies of all documents and statements required by California Civil Code Section 1368(a) and the Owner Maintenance Manual.

13.6 EXHIBITS: All exhibits, if any, attached to this Declaration are incorporated by this reference as though fully set forth herein.

13.7 GENDER, NUMBER AND CAPTIONS: As used herein, the singular includes the plural and masculine pronouns include feminine pronouns, where appropriate. The title and captions of each paragraph hereof are not a part thereof and shall not affect the construction or interpretation of any part hereof.

13.8 REQUIRED ACTIONS OF ASSOCIATION: The Association shall at all times take all reasonable actions necessary for the Association to comply with the terms of this Declaration or to otherwise carry out the intent of this Declaration.

13.9 SEVERABILITY OF PROVISIONS: The provisions hereof shall be deemed independent and severable, and the validity or enforceability of any one provision will not affect the validity or enforceability of any other provision hereof.

13.10 SUCCESSOR STATUTES: Any reference in the Project Documents to a statute will be deemed a reference to any amended or successor statute.

13.11 TERM OF DECLARATION: This Declaration will continue for a term of fifty (50) years from its date of recordation. Thereafter, this Declaration will be automatically extended for successive periods of ten (10) years until two-thirds (2/3) of the Owners approve a termination of this Declaration.

IN WITNESS WHEREOF, the undersigned has executed this Declaration on the 19th day of June, 2006.

DECLARANT:

MARTIN PARK, LLC,
a Delaware limited liability company

By: KB HOME SOUTH BAY INC.,
a California corporation
Its Managing Member

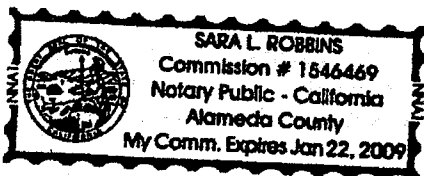
By: [Signature]
Name: Jeff McMullen
Title: Vice President

STATE OF CALIFORNIA
COUNTY OF Alameda } ss.

On June 19, 2006, before me, Sara L. Robbins, Notary Public,
personally appeared Jeffrey P. McMullen,
personally known to me (or proved to me on the basis of satisfactory evidence) to be the person(s) whose
name(s) is/are subscribed to the within instrument and acknowledged to me that he/she/they executed the
same in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument, the
person(s) or the entity upon behalf of which the person(s) acted, executed the instrument.

WITNESS my hand and official seal.

[Signature]
Notary Public



EXHIBITS

- A Description of Annexable Property (Section 2.4)**
- B Legal Description of EVA Area (Section 2.19)**
- C Plats of Yard Easements (Section 2.49)**

EXHIBIT "A"

REAL PROPERTY IN THE CITY OF SAN JOSE, COUNTY OF SANTA CLARA, STATE OF CALIFORNIA, DESCRIBED AS FOLLOWS:

LOTS 1-76 AND 99-103, AS SHOWN ON THAT CERTAIN MAP ENTITLED "TRACT. 9644", WHICH MAP WAS FILED IN THE OFFICE OF THE RECORDER OF THE COUNTY OF SANTA CLARA, STATE OF CALIFORNIA ON JUNE 14, 2006, IN BOOK 802 OF MAPS, AT PAGES 15 THROUGH 20.



November 28, 2005
HMH 3010-02-270
Page 1 of 1

EXHIBIT "B"
LANDSCAPE AREA

REAL PROPERTY in the City of San Jose, County of Santa Clara, State of California being a portion of the parcel of land described in the deed to MARTIN PARK, LLC, recorded December 15, 2004, in Document No. 18148904 of Official Records, Santa Clara County Records, more particularly described as follows:

Beginning at the most southerly corner of said parcel of land;

Thence along the westerly line of said parcel of land North 08°44'34" East, 126.27 feet;

Thence South 81°15'26" East, 35.14 feet;

Thence along a tangent curve to the right, having a radius of 31.00 feet, through a central angle of 11°55'49" for an arc length of 6.45 feet;

Thence along a reverse curve to the left, having a radius of 20.00 feet, through a central angle of 60°38'48" for an arc length of 21.17 feet;

Thence South 39°58'25" East, 4.50 feet;

Thence westerly along a no-tangent curve to the right, having a radius of 24.50 feet, whose center bears North 39°58'25" West, through a central angle of 60°38'48" for an arc length of 25.93 feet;

Thence along a reverse curve to the left, having a radius of 26.50 feet, through a central angle of 240°38'48" for an arc length of 110.30 feet;

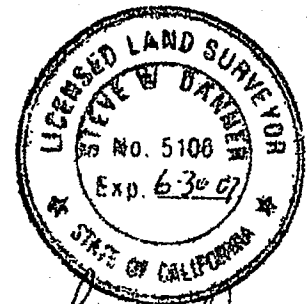
Thence North 50°01'35" East, 43.97 feet;

Thence South 39°58'25" East, 15.50 feet to the southeasterly line of said parcel of land;

Thence along said southeasterly line South 50°01'35" West, 40.16 feet;

Thence South 53°14'53" West, 98.74 feet, to the POINT OF BEGINNING;

Containing 4,156 square feet, more or less.



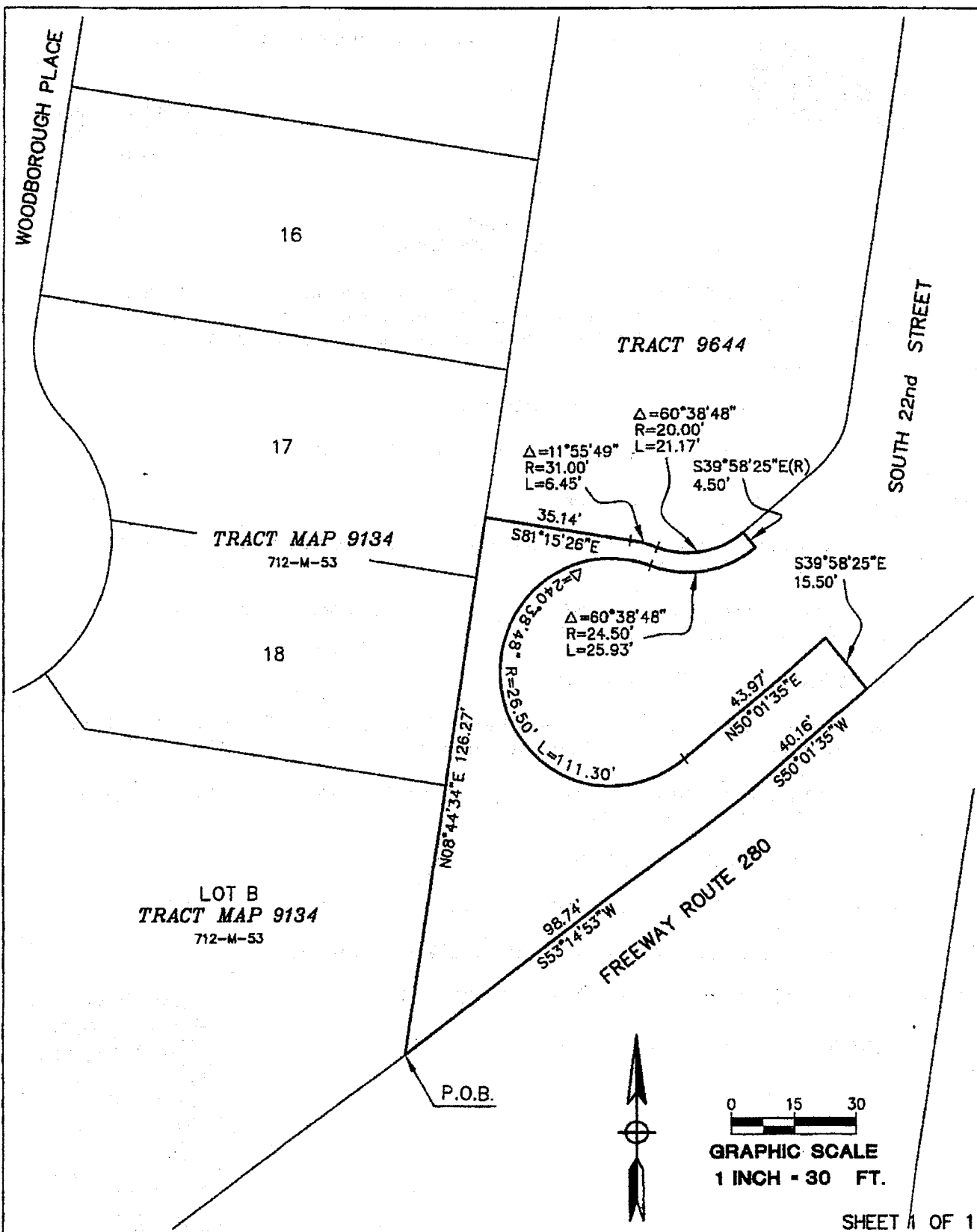
Steve W. Danneberg

3010ld08.doc

SAN JOSE
1570 Oakland Road
San Jose, California 95131
408.487.2200 Tel 408.487.2222 Fax
www.hmh-engineers.com

GILROY
7951 Wren Avenue, Suite D
Gilroy, California 95020
408.846.0707 Tel 408.846.0676 Fax

Address: 825 S 22nd St
Order Date: 04-11-2025
Document not for resale
HomeWiseDocs



SHEET 1 OF 1

Date: 11-28-05		San Jose (408) 487-0200
Scale: 1" = 30'		Gilroy (408) 540-0707
Designed: -		
Drawn: AH		
Checked: JM		
Proj. Eng.: -		
Reg. No: 3010PL08		www.hmh-engineers.com

Plot to accompany description:
LANDSCAPE AREA

SAN JOSE CALIFORNIA

Address: 825 S 22nd St
 Order Date: 04-11-2025
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EXHIBIT "C"

Plats of Yard Easements

Order: ZDT3W9PY5
Address: 825 S 22nd St
Order Date: 04-11-2025
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TRACT 8765

81

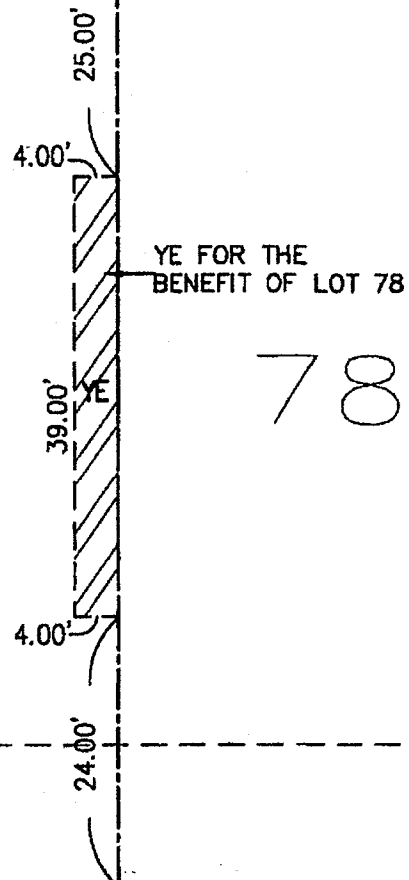
82

77

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73

74



PRIVATE STREET 17

Y E (YARD EASEMENT)
DOMINANT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19

SERVIENT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19

SHEET 1 OF 1

Date: 09-15-05
Scale: 1" = 20'
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Checked: DRR
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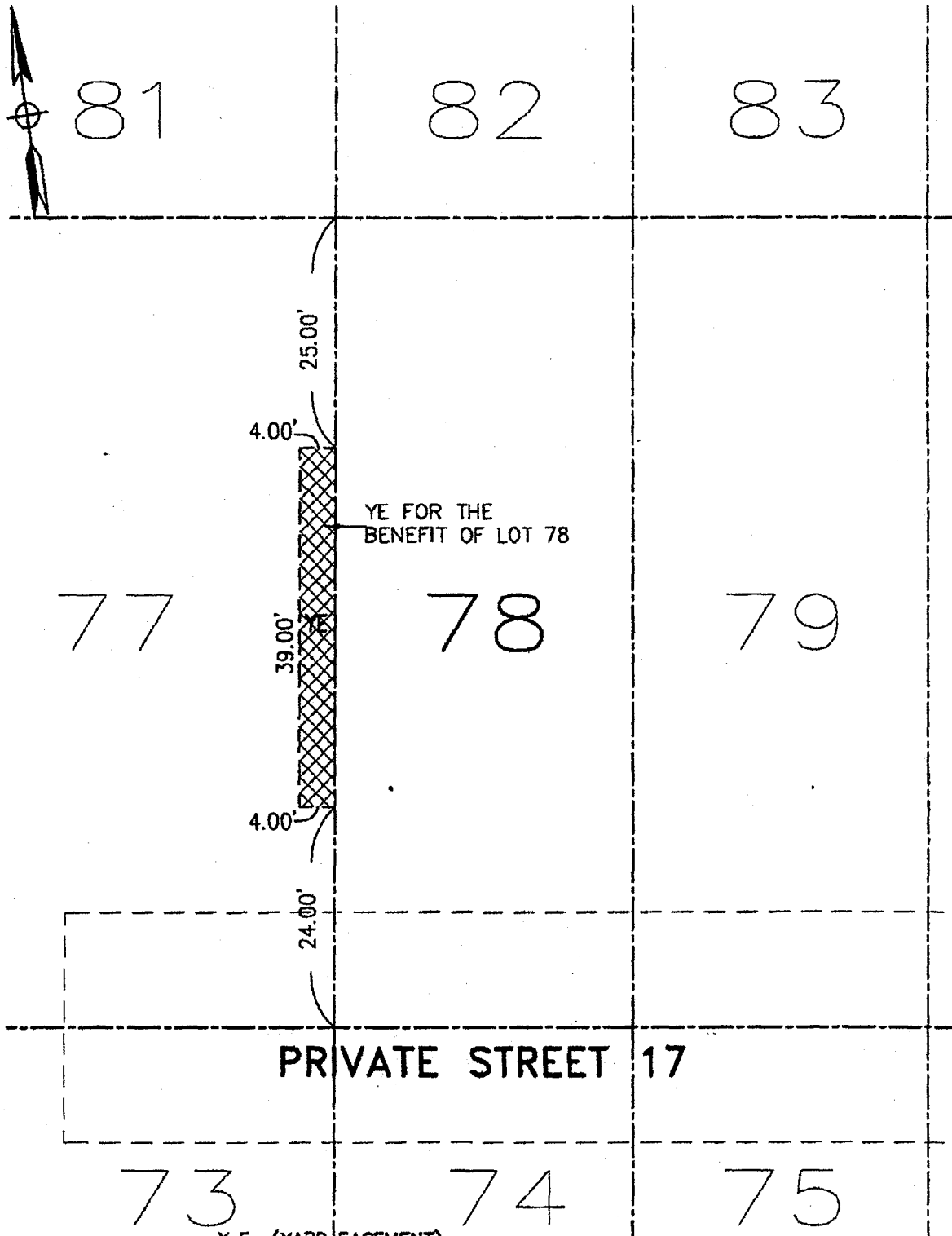
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Autumn Terrace at William
LOT 77
TRACT 9644 BK XXX-x-Pg XX
YARD EASEMENTS

SAN JOSE

CALIFORNIA

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Address: 823 S 22nd St
Order Date: 04-11-2025
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Y E (YARD EASEMENT)
DOMINANT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19

SERVIENT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19

SHEET 1 OF 1

Date: 09-15-05
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Proj. Eng.: SP
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LOT 78
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YARD EASEMENTS

CALIFORNIA

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Address: 625 S 22nd St
Order Date: 04-11-2025
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82

83

84

78

79

80

74

75

76

17.84'

4.00'

YE FOR THE
BENEFIT OF LOT 79

45.16'

25.00'

4.00'

PRIVATE STREET 17

Y E (YARD EASEMENT)
SERVIENT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19



SERVIENT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19 SHEET 1 OF 1

Date: 09-15-05
Scale: 1" = 20'
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LOT 79
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YARD EASEMENTS

CALIFORNIA

Order ZDT3W9PY5
Address 222 S 22nd St
Order Date: 04-11-2025
Document not for resale
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83

84

79

80

17.84'

4.00'

YE FOR THE
BENEFIT OF LOT 79

45.16'

4.00'

25.00'

PRIVATE STREET 17

75

76

SOUTH 22nd STREET

Y E (YARD EASEMENT)
SERVIENT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19



DOMINANT TENEMENT
AS DEFINED BY
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SHEET 1 OF 1

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Autumn Terrace at William
LOT 80

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YARD EASEMENTS

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86

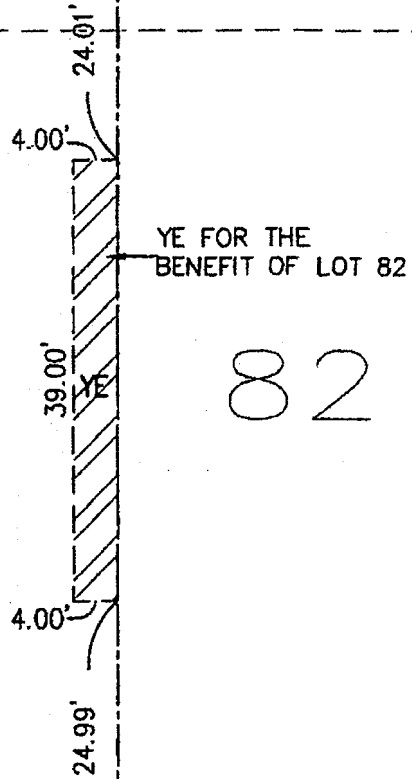
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81

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78



Y E (YARD EASEMENT)
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AS DEFINED BY
CC&R SECTION 3.5.19

SERVIENT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19

SHEET 1 OF 1

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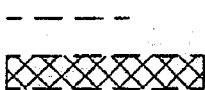
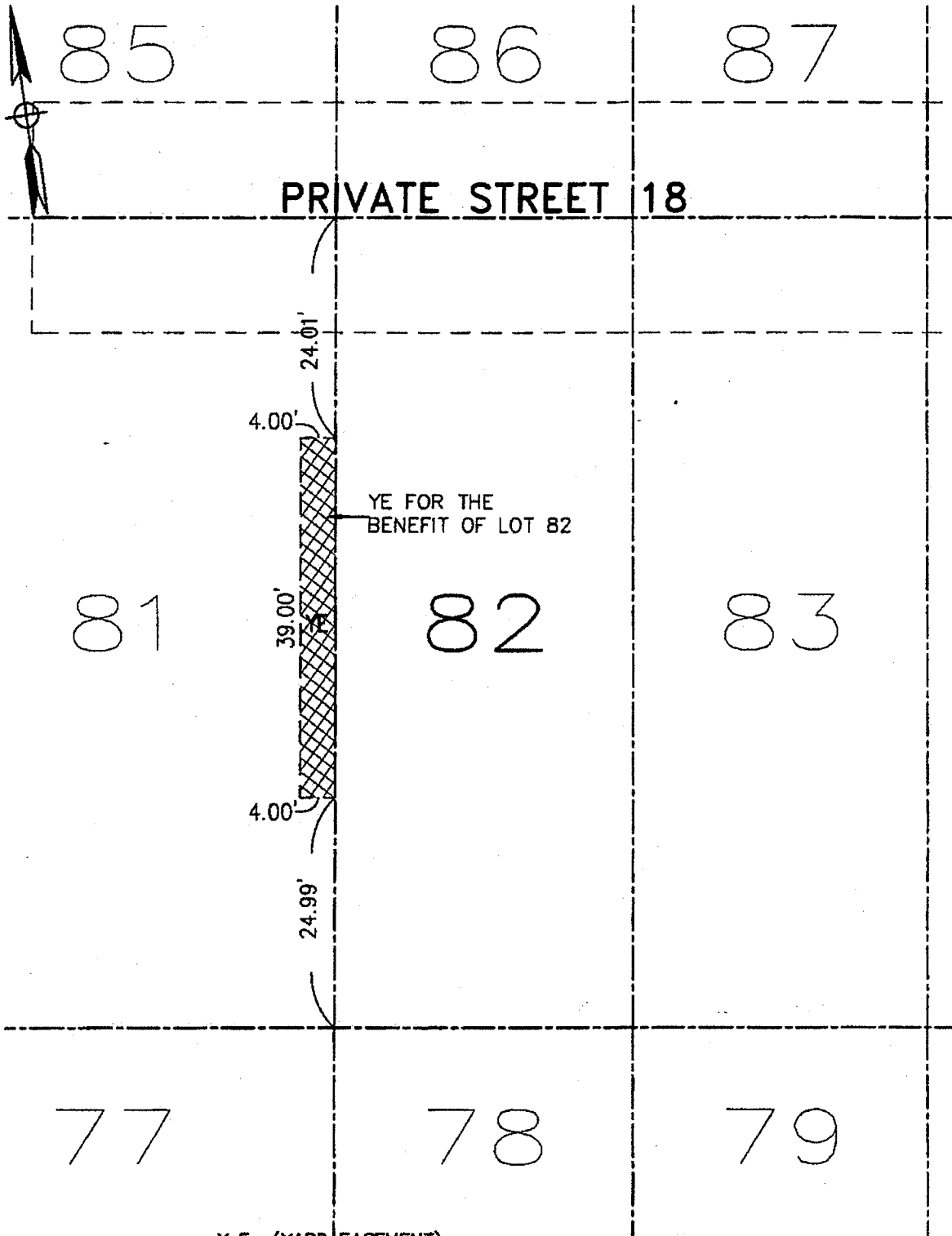
Autumn Terrace at William
LOT 81

TRACT 9644 BK XXX-x-Pg XX
YARD EASEMENTS

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CALIFORNIA

Order: ZDT3W9PY5
Address: 225 S 22nd St
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SERVIENT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19

SHEET 1 OF 1

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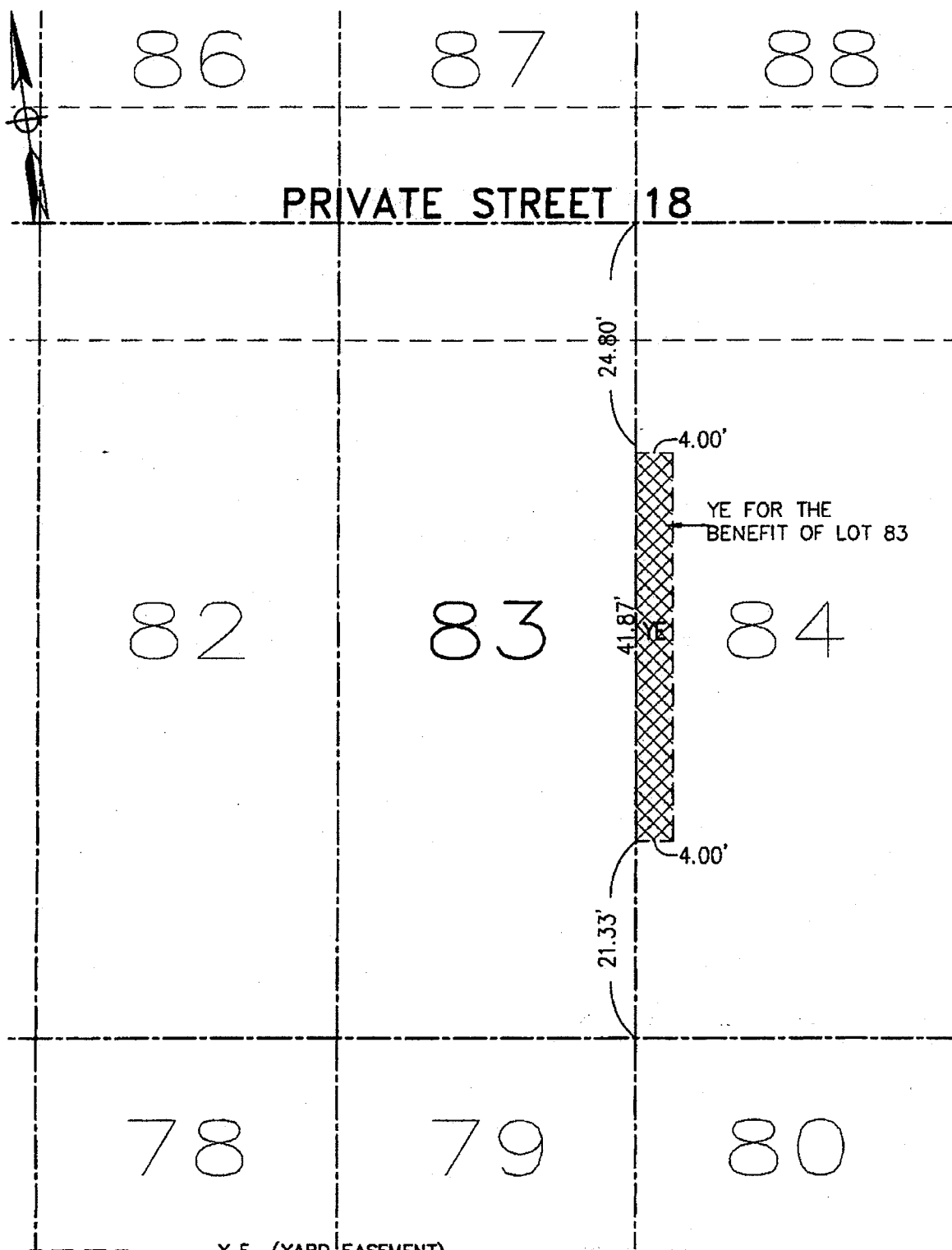
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LOT 82
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SERVIENT TENEMENT
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DOMINANT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19

SHEET 1 OF 1

Date: 09-15-05
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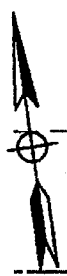
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Autumn Terrace at William
LOT 83
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YARD EASEMENTS

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Address: 825 S 22nd St
Order Date: 04-11-2025
Document not for resale
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87

88

PRIVATE STREET 18

24.80'

4.00'

YE FOR THE
BENEFIT OF LOT 83

83

41.87'

84

4.00'

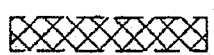
21.33'

SOUTH 22nd STREET

79

80

Y E (YARD EASEMENT)
DOMINANT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19



SERVIENT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19



SHEET 1 OF 1

Date:	09-15-05
Scale:	1" = 20'
Designed:	-
Drawn:	NNS
Checked:	DRR
Proj. Engr.:	SP
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YARD EASEMENTS

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Address: 625 S 22nd St
Order Date: 04-11-2025
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8765

TRACT

89

90

85

86

81

82

20.50'

4.00'

43.00'

4.00'

24.50'

YE FOR THE
BENEFIT OF LOT 86

YE

PRIVATE STREET 18

Y E (YARD EASEMENT)
DOMINANT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19

SERVIENT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19

SHEET 1 OF 1

Date: 09-15-05
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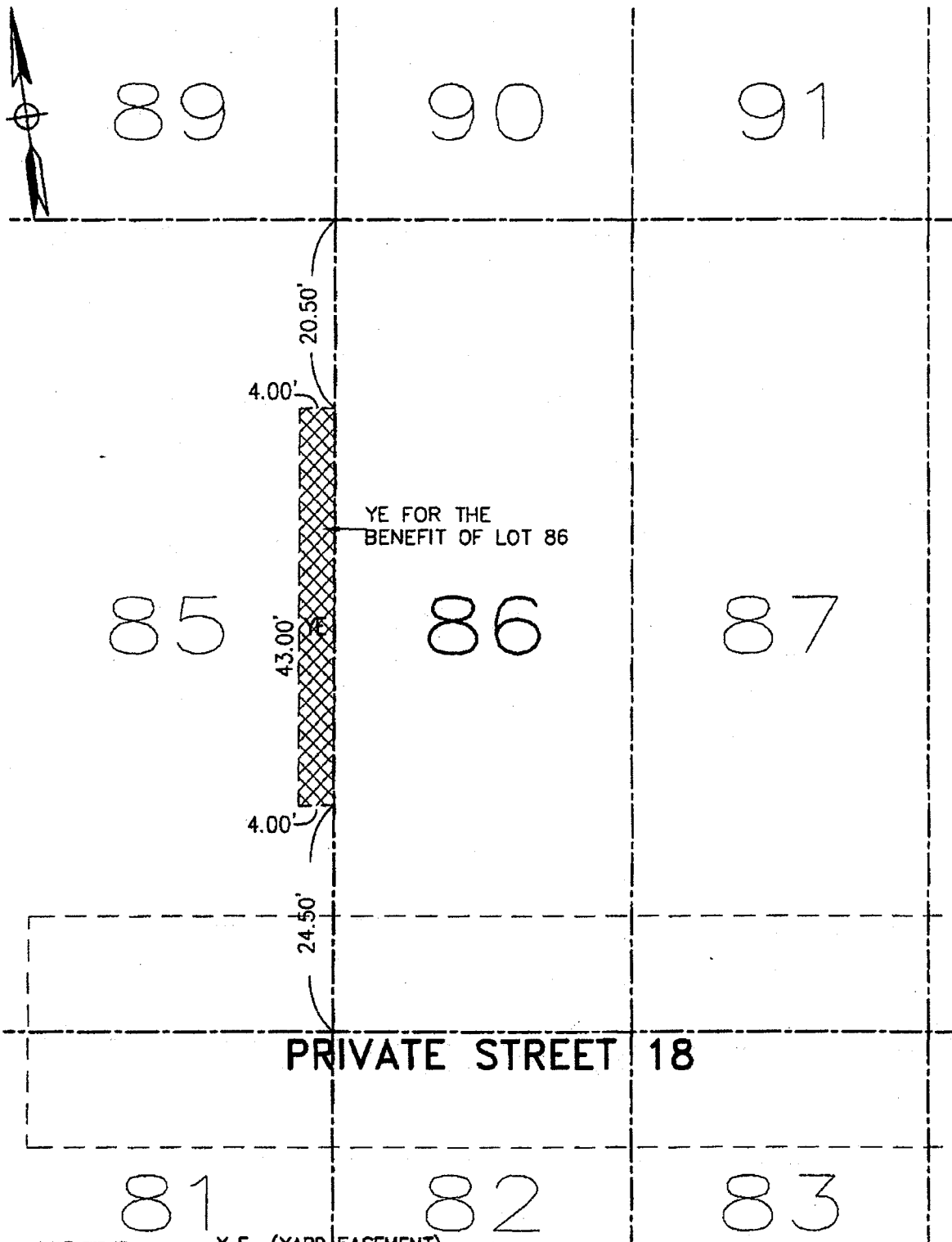
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Autumn Terrace at William
LOT 85
TRACT 9644 BK XXX-x-Pg XX
YARD EASEMENTS

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Y E (YARD EASEMENT)
DOMINANT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19

SERVIENT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19

SHEET 1 OF 1

Date: 09-15-05
Scale: 1" = 20'
Designed: -
Drawn: NNS
Checked: DRR
Proj. Engr: SP
Dig. No: 77-98.105&105.04

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LOT 86
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YARD EASEMENTS

CALIFORNIA

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Address: 825 S 22nd St.
Order Date: 04-11-2025
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HomeWiseDocs



90

91

92

86

87

88

20.00'

4.00'

YE FOR THE
BENEFIT OF LOT 87

43.00'

4.00'

25.00'

PRIVATE STREET 18

82

83

84

Y E (YARD EASEMENT)
DOMINANT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19



SERVIENT TENEMENT
AS DEFINED BY
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SHEET 1 OF 1

Date: 09-15-05
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Designed: -
Drawn: NNS
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Proj. Engr.: SP
Dwg No: 005 77-06105&105.dwg

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Autumn Terrace at William
LOT 87

TRACT 9644 BK XXX-x-Pg XX
YARD EASEMENTS

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CALIFORNIA

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Address: 325 S 22nd St
Order Date: 04-11-2025
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HomeWiseDocs



91

92

20.00'

4.00'

YE FOR THE
BENEFIT OF LOT 87

87

43.00'

88

4.00'

25.00'

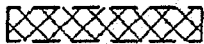
PRIVATE STREET 18

83

84

SOUTH 22nd STREET

Y E (YARD EASEMENT)
DOMINANT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19



SERVIENT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19

SHEET 1 OF 1

Date: 09-15-05
Scale: 1" = 20'
Designed: -
Drawn: NNS
Checked: DRR
Proj. Eng.: SP
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Address: 825 S 22nd St
Order Date: 04-11-2025
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TRACT 8765

93

94

PRIVATE STREET 19

89

90

85

86

24.80'

4.00'

38.21'

4.00'

24.99'

YE FOR THE
BENEFIT OF LOT 90

Y E (YARD EASEMENT)
DOMINANT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19

SERVIENT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19

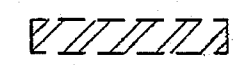
SHEET 1 OF 1

Date: 09-15-05
Scale: 1" = 20'
Designed: -
Drawn: NNS
Checked: DRR
Proj. Engr.: SP
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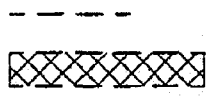
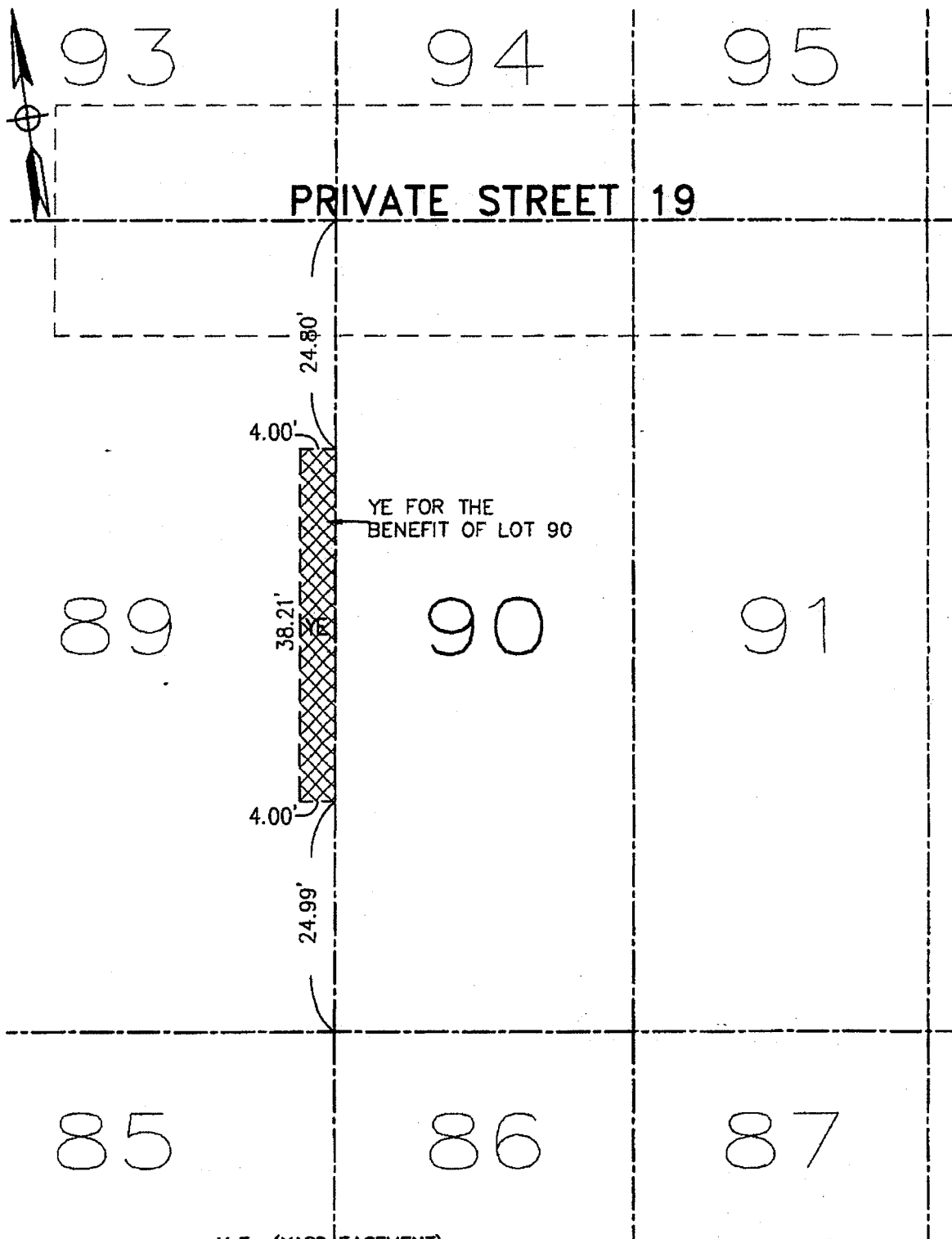


SAN JOSE

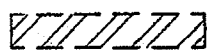
Autumn Terrace at William
LOT 89
TRACT 9644 BK XXX-x-Pg XX
YARD EASEMENTS

CALIFORNIA

Order ZDT3W9PY5
Address: 825 S 22nd St
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Y E (YARD EASEMENT)
DOMINANT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19



SERVIENT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19

SHEET 1 OF 1

Date: 09-15-05
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Drawn: NNS
Checked: DRR
Proj Eng: SP
Dig Hds: 77-88.1054105.dwg

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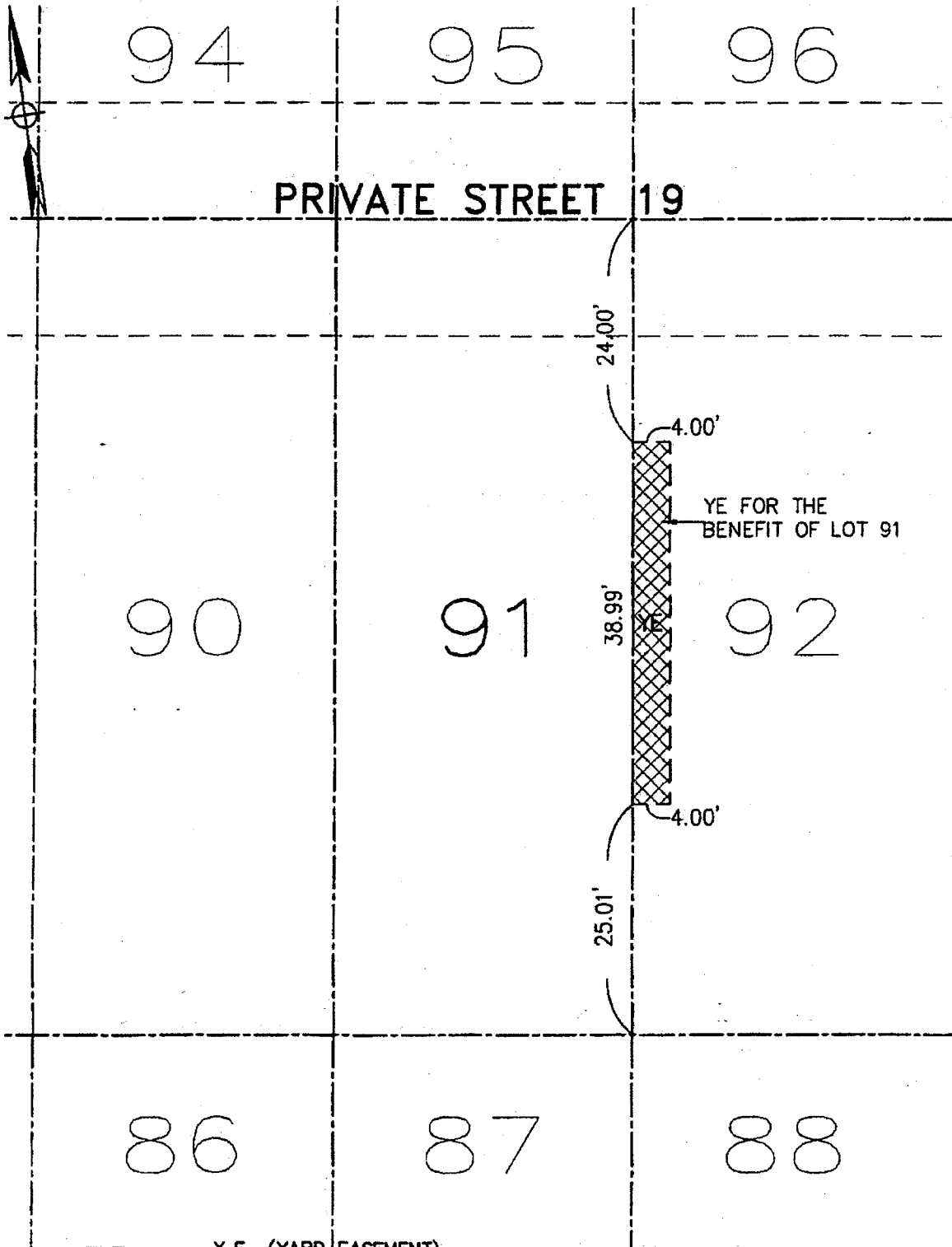
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Y E (YARD EASEMENT)
SERVIENT TENEMENT
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DOMINANT TENEMENT
AS DEFINED BY
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SHEET 1 OF 1

Date: 09-15-05
Scale: 1" = 20'
Designed: -
Drawn: NNS
Checked: DRR
Proj. Eng.: SP
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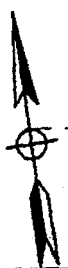
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Autumn Terrace at William
LOT 91

TRACT 9644 BK XXX-x-Pg XX
YARD EASEMENTS

SAN JOSE

CALIFORNIA



95

96

PRIVATE STREET 19

91

92

SOUTH 22nd STREET

87

88

24.00'

4.00'

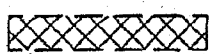
YE FOR THE
BENEFIT OF LOT 91

38.99'

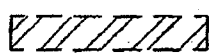
4.00'

25.01'

Y E (YARD EASEMENT)
DOMINANT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19



SERVIENT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19



SHEET 1 OF 1

Date: 09-15-05
Scale: 1" = 20'
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Drawn: NNS
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LOT 92
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YARD EASEMENTS

CALIFORNIA

Order ZDT3W9PY5
Address: 323 S 22nd St
Order Date: 04-11-2025
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TRACT 8765

97

98

93

94

89

90

25.50'

4.00'

YE FOR THE
BENEFIT OF LOT 94

38.00'

4.00'

24.50'

PRIVATE STREET 19

Y E (YARD EASEMENT)
DOMINANT TENEMENT
AS DEFINED BY
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SERVIENT TENEMENT
AS DEFINED BY
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SHEET 1 OF 1

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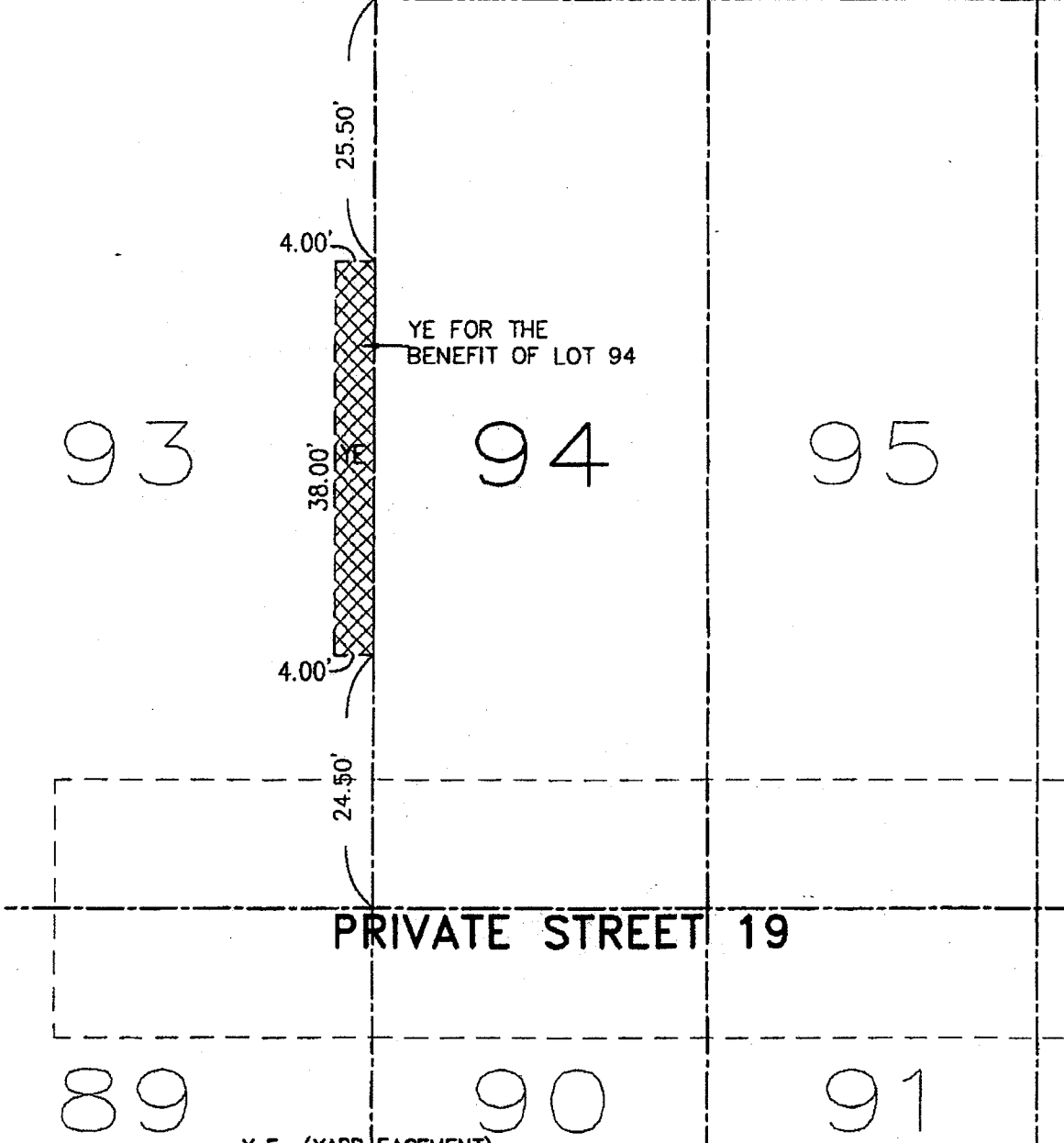
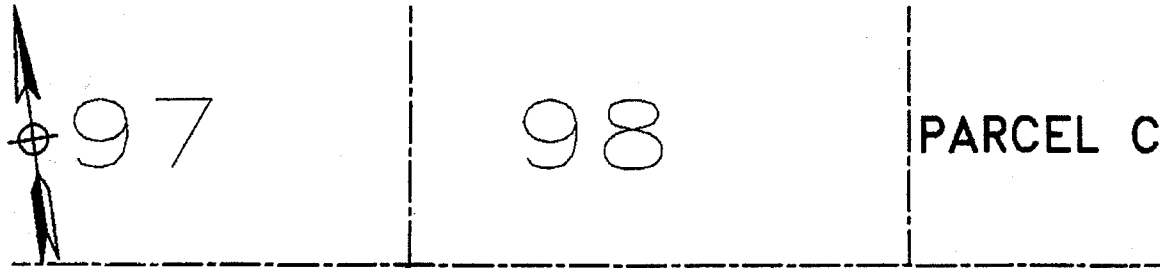
Autumn Terrace at William
LOT 93

TRACT 9644 BK XXX-x-Pg XX
YARD EASEMENTS

SAN JOSE

CALIFORNIA

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Address: 22nd St
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Y E (YARD EASEMENT)
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SERVIENT TENEMENT
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SHEET 1 OF 1

Date: 09-15-05
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98

PARCEL C

94

95

96

22.34'

4.00'

EASEMENT FOR THE
BENEFIT OF LOT 95

41.16'

4.00'

24.50'

PRIVATE STREET 19

90

91

92

EASEMENT (YARD EASEMENT)
SERVIENT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19

DOMINANT TENEMENT
AS DEFINED BY
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SHEET 1 OF 1

Date: 09-15-05
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PARCEL C

95

96

SOUTH 22nd STREET

22.34'

4.00'

YE FOR THE
BENEFIT OF LOT 95

41.16'

4.00'

24.50'

PRIVATE STREET 19

91

92

Y E (YARD EASEMENT)
DOMINANT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19

SERVIENT TENEMENT
AS DEFINED BY
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SHEET 1 OF 1

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YARD EASEMENTS

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TRACT 8765

PRIVATE
STREET 20

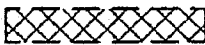
97

98

93

94

Y E (YARD EASEMENT)
DOMINANT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19



SERVIENT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19



SHEET 1 OF 1

Date: 09-15-05
Scale: 1" = 20'
Designed: -
Drawn: NNS
Checked: DRR
Proj. Engr.: SP
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Autumn Terrace at William
LOT 97

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YARD EASEMENTS

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CALIFORNIA

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Address: 825 S 22nd St
Order Date: 04-11-2025
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PRIVATE

STREET 20

SOUTH 22nd STREET

97

98

PARCEL A

93

94

95

Y E (YARD EASEMENT)
DOMINANT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19



SERVIENT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19



SHEET 1 OF 1

Date: 09-15-05
Scale: 1" = 20'
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Drawn: NNS
Checked: DRR
Proj. Eng.: SP
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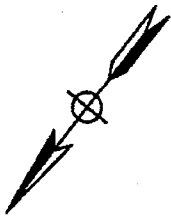
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Autumn Terrace at William
LOT 98
TRACT 9644 BK XXX-x-Pg XX
YARD EASEMENTS

CALIFORNIA

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101

100

99

PRIVATE STREET 21

103

104

105

SOUTH 22nd STREET

25.00'

4.00'

YE FOR THE
BENEFIT OF LOT 104

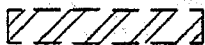
45.00'

4.00'

20.80'

EAST WILLIAM STREET

Y E (YARD EASEMENT)
SERVIENT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19



DOMINANT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19



SHEET 1 OF 1

Date: 09-15-05
Scale: 1" = 20'
Designed: -
Drawn: NNS
Checked: DRR
Proj Eng: SP
Dwg No: 005 77-06,105&105.dwg

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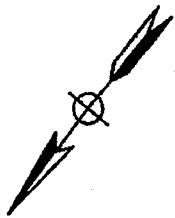
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Autumn Terrace at William
LOT 104
TRACT 9644 BK XXX-x-Pg XX
YARD EASEMENTS

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CALIFORNIA

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100

99

PRIVATE STREET 21

SOUTH 22nd STREET

104

105

25.00'

4.00'

YE FOR THE
BENEFIT OF LOT 104

45.00'

20.80'

4.00'

EAST WILLIAM STREET

Y E (YARD EASEMENT)
DOMINANT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19

SERVIENT TENEMENT
AS DEFINED BY
CC&R SECTION 3.5.19

SHEET 1 OF 1

Date: 09-15-05
Scale: 1" = 20'
Designed: -
Drawn: NNS
Checked: DRR
Proj. Engr.: SP
Dwg Number: 77-00,105&105.dwg

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